

NMLS SAFE MLO

Full-Length Practice Exam Phase 3 — Exam 5

120 Questions · SAFE Exam Difficulty Level

Answers & Explanations Included · Exam Date: May 22, 2026

TOPIC AREA	WEIGHT	~QUESTIONS
Federal Laws & Regulations	23%	~28
General Mortgage Knowledge	23%	~28
Loan Origination Activities	25%	~30
Ethics	16%	~19
SAFE Act / NMLS / State Law	13%	~15
TOTAL	100%	120

INSTRUCTIONS: This exam mirrors actual NMLS SAFE test difficulty. Watch for EXCEPT / NOT / MOST / BEST in question stems — they change the answer. Time: 3 hours. Passing = 75% (90+ correct). Record your answers in the grid below, then check the Answer Key starting after Question 120.

ANSWER GRID — Circle Your Answer				
1. A B C D	2. A B C D	3. A B C D	4. A B C D	5. A B C D
6. A B C D	7. A B C D	8. A B C D	9. A B C D	10. A B C D
11. A B C D	12. A B C D	13. A B C D	14. A B C D	15. A B C D
16. A B C D	17. A B C D	18. A B C D	19. A B C D	20. A B C D
21. A B C D	22. A B C D	23. A B C D	24. A B C D	25. A B C D
26. A B C D	27. A B C D	28. A B C D	29. A B C D	30. A B C D
31. A B C D	32. A B C D	33. A B C D	34. A B C D	35. A B C D
36. A B C D	37. A B C D	38. A B C D	39. A B C D	40. A B C D
41. A B C D	42. A B C D	43. A B C D	44. A B C D	45. A B C D
46. A B C D	47. A B C D	48. A B C D	49. A B C D	50. A B C D
51. A B C D	52. A B C D	53. A B C D	54. A B C D	55. A B C D
56. A B C D	57. A B C D	58. A B C D	59. A B C D	60. A B C D
61. A B C D	62. A B C D	63. A B C D	64. A B C D	65. A B C D

66. A B C D	67. A B C D	68. A B C D	69. A B C D	70. A B C D
71. A B C D	72. A B C D	73. A B C D	74. A B C D	75. A B C D
76. A B C D	77. A B C D	78. A B C D	79. A B C D	80. A B C D
81. A B C D	82. A B C D	83. A B C D	84. A B C D	85. A B C D
86. A B C D	87. A B C D	88. A B C D	89. A B C D	90. A B C D
91. A B C D	92. A B C D	93. A B C D	94. A B C D	95. A B C D
96. A B C D	97. A B C D	98. A B C D	99. A B C D	100. A B C D
101. A B C D	102. A B C D	103. A B C D	104. A B C D	105. A B C D
106. A B C D	107. A B C D	108. A B C D	109. A B C D	110. A B C D
111. A B C D	112. A B C D	113. A B C D	114. A B C D	115. A B C D
116. A B C D	117. A B C D	118. A B C D	119. A B C D	120. A B C D

EXAM Phase 3 — Exam 5 — QUESTIONS (1–120)**■ Federal Laws ■***[Federal Laws — TRID]*

1. A lender issues a Loan Estimate showing a \$500 origination fee. Before closing, the lender decides to charge \$800. The lender argues there was a valid changed circumstance. For lender origination fees, a valid changed circumstance:

- A) Allows re-disclosure of origination fees at any time before closing
- B) Does NOT allow re-disclosure of lender origination fees — lender origination charges are in the ZERO TOLERANCE category and cannot increase regardless of changed circumstances unless the borrower requests a different loan product
- C) Allows re-disclosure only if the change exceeds \$100
- D) Allows re-disclosure within 5 business days of discovery

[Federal Laws — TRID]

2. Under TRID, a borrower receives the Loan Estimate on April 1. The earliest the loan may close (be consummated) under the 7-business-day waiting period is:

- A) April 7 (6 days after LE)
- B) April 9 (7 business days — counting April 2-8, excluding Sunday April 7... wait, Saturday April 6 counts, so business days are April 2,3,4,5,6,8 = 6 days... April 9 is day 7)
- C) April 8 (7 days later)
- D) April 11 (10 calendar days later)

[Federal Laws — RESPA]

3. A title company offers free closing gifts (AirPods worth \$250) to all borrowers who use their services. An MLO refers borrowers exclusively to this title company. Under RESPA Section 8:

- A) This is permissible — the gift goes to the borrower, not the MLO
- B) This arrangement raises Section 8 concerns — the title company providing incentives that attract referrals from MLOs (even indirectly through borrowers) can constitute a thing of value in exchange for referrals; the CFPB has taken action on similar 'marketing to borrowers' programs that benefit referring parties
- C) This is permissible because the gift is under \$500
- D) This is permissible because the MLO receives nothing directly

[Federal Laws — TILA]

4. TILA's disclosure of the 'amount financed' on the Closing Disclosure represents:

- A) The loan amount the borrower receives
- B) The loan amount minus prepaid finance charges (fees included in the finance charge) — it represents the net amount of credit actually provided to the borrower
- C) The total of all payments made over the loan life
- D) The balance owed at the end of year 5

[Federal Laws — ECOA]

5. A borrower applies for a mortgage and the credit report shows a prior name. The lender demands an explanation for the name change. Under ECOA/Reg B:

- A) The lender may require documentation of all prior names to verify identity
- B) Requiring explanation of a name change itself is permissible for identity verification; however, using the fact of a name change (e.g., a woman who changed her name upon marriage) as a creditworthiness factor would be discrimination based on marital status or sex — the distinction is verification vs. evaluation
- C) Name changes are always a permissible basis for denial
- D) The lender may not ask about prior names under any circumstances

[Federal Laws — RESPA]

6. An MLO who is also a licensed real estate agent receives a referral fee from a title company for every client the MLO sends. The fee is \$400 per closing. Under RESPA Section 8:

- A) This is permissible because the MLO provides two services
- B) This is a Section 8 violation — the \$400 payment is for referring settlement service business (title insurance); no amount of referral payment is permissible regardless of the amount or any claim that 'services were performed'
- C) This is permissible if the MLO also does title searches
- D) This is permissible if disclosed in the AfBA form

[Federal Laws — TILA]

7. A mortgage advertisement states 'Rates from 5.99%' without stating the APR. Under Regulation Z's advertising requirements:

- A) This is permissible — only APR must be disclosed in advertising when triggered
- B) Stating an interest rate ('5.99%') in advertising is a 'triggering term' under Reg Z that requires disclosure of the APR with at least equal prominence — the ad as stated without APR violates Reg Z's advertising rules
- C) Only print ads require APR disclosure; digital ads are exempt
- D) APR disclosure is only required when the rate is below market

[Federal Laws — ECOA]

8. A lender's loan officer tells a Hispanic applicant that the lender 'doesn't work in that area of town' even though the lender is licensed to operate statewide. The loan officer makes exceptions for white applicants from the same area. This is BEST described as:

- A) A legitimate territory restriction
- B) Disparate treatment — intentionally refusing to serve applicants based on national origin (or race) while making exceptions for non-protected class members is direct discrimination under ECOA and the Fair Housing Act
- C) Redlining — but only if the lender puts this in writing
- D) An acceptable practice if documented consistently

[Federal Laws — Fair Housing]

9. A landlord refuses to rent to a family because they have three children under 12. The landlord says the property is 'not suitable for small children.' Under the Fair Housing Act:

- A) This is permissible — landlords can set occupancy standards
- B) This violates the FHA's familial status protections — refusing to rent to families with children is per se discrimination; the only exception is qualifying senior housing (55+ communities meeting specific requirements)
- C) This is permissible because it is a safety concern
- D) This is permissible if the property is a single-family home owned by an individual

[Federal Laws — HOEPA]

10. A mortgage broker charges the following fees on a \$100,000 loan: 1 point origination (\$1,000) + 1 point broker fee (\$1,000) + \$500 application fee + \$800 credit insurance. Total points and fees = \$3,300. Is this a HOEPA high-cost mortgage based on points and fees?

- A) Yes — 3.3% exceeds HOEPA's 3% threshold
- B) No — HOEPA's points and fees threshold for loans $\geq$ \$20,000 is 5% of the loan amount = \$5,000; \$3,300 < \$5,000; this is NOT a high-cost mortgage based on this test alone
- C) Yes — any loan with broker fees triggers HOEPA
- D) No — HOEPA only applies to first-lien loans

[Federal Laws — HMDA]

11. A bank with \$2 billion in assets, located in an MSA, originated 175 covered loans in Year 1 and 210 in Year 2. The HMDA loan-volume threshold for depository institutions is met when the institution originates at least how many covered loans in EACH of the two preceding calendar years?

- A) 50 loans in each year
- B) 25 loans in each year — for closed-end mortgage loans (as of 2018 HMDA thresholds)
- C) 100 loans in each year
- D) 200 loans in each year

[Federal Laws — TRID]

12. A lender uses a standard rate lock agreement that states the rate is locked for 30 days. The closing date is scheduled for day 28. Due to the borrower's request for additional time to review documents, closing is pushed to day 32. The lender charges a \$500 rate lock extension fee. Under TRID:

- A) Rate lock extension fees are prohibited
- B) TRID does not prohibit rate lock extension fees — it requires disclosure of lock expiration and extension fees on the LE and CD; if the LE disclosed the potential for extension fees, charging the fee is permissible; if undisclosed, it raises TRID concerns
- C) All extension fees must be waived if the borrower requests the delay
- D) Extension fees are zero-tolerance and cannot be charged without prior LE disclosure

[Federal Laws — ECOA]

13. Under Regulation B's marital status provisions, a lender IN A COMMUNITY PROPERTY STATE may ask about marital status because:

- A) Community property states allow discrimination based on marital status
- B) In community property states, a non-applicant spouse's debts may be the legal obligation of both spouses, affecting creditworthiness assessment — the inquiry is permitted to understand the legal debt obligations, not to discriminate
- C) Marital status is always a permissible inquiry
- D) Community property states are exempt from ECOA

[Federal Laws — Fair Housing]

14. Under the Fair Housing Act, which of the following is NOT a protected class at the FEDERAL level?

- A) Race
- B) Sexual orientation (at the federal level of the FHA itself, though executive orders and HUD guidance have extended some protections)
- C) National origin
- D) Disability

[Federal Laws — HOEPA]

15. A HOEPA high-cost mortgage lender includes a mandatory arbitration clause that prevents the borrower from pursuing class action litigation. Under HOEPA and the Dodd-Frank Act:

- A) Mandatory arbitration clauses are permissible in all mortgage contracts
- B) Mandatory arbitration clauses in high-cost mortgage contracts are PROHIBITED under Dodd-Frank; consumers must retain the right to seek legal remedies in court for HOEPA high-cost mortgage violations
- C) Arbitration clauses are only prohibited in FHA and VA loans
- D) Arbitration clauses are permissible if disclosed 3 business days before closing

[Federal Laws — HMDA]

16. A financial institution discovers that its HMDA data for the prior year is missing 15 applications where the institution declined to process because the property was in a certain ZIP code. What fair lending concern does this raise?

- A) None — incomplete HMDA data is a technical violation only
- B) Redlining — if applications for properties in certain geographic areas (likely correlating with protected class demographics) were systematically declined to be processed or were not recorded, this could indicate geographic discrimination violating the Fair Housing Act and ECOA, in addition to HMDA reporting violations
- C) Only a HMDA reporting violation with no fair lending implications
- D) A RESPA violation — declining applications is prohibited

[Federal Laws — TILA]

17. A lender increases the APR between the CD issued on Monday and the final CD issued on Friday (same week) by 0.2% — just above the 1/8% threshold. Under TRID, this requires:

- A) A new 3-business-day waiting period from Friday — earliest closing is Tuesday (Friday + 3 business days, counting Saturday as a business day)
- B) No additional waiting period because the CD was re-issued on Friday
- C) Closing to be pushed back 7 business days
- D) Immediate denial of the loan

[Federal Laws — RESPA]

18. A real estate brokerage and a mortgage company share office space and split the rent. Under RESPA, this arrangement:

- A) Is always a Section 8 violation
- B) May be permissible if the rent reflects fair market value for the space actually shared and is not a disguised referral fee — below-market rent paid by one party to another with a referral relationship is scrutinized as a potential Section 8 kickback
- C) Is only permissible if disclosed in the AfBA form
- D) Is permissible only in states without affiliated business arrangement laws

[Federal Laws — ECOA]

19. A lender's underwriting algorithm was trained on historical loan data. The algorithm produces approval rates for minority applicants that are 25% lower than for white applicants with similar credit profiles. The lender claims the algorithm is 'objective and race-neutral.' Under ECOA's disparate impact theory:

- A) The algorithm is exempt because it uses no race-based variables
- B) The lender faces a disparate impact claim — a facially neutral policy (the algorithm) that produces discriminatory outcomes against a protected class requires the lender to demonstrate business necessity; the 25% approval rate gap for similarly qualified applicants is compelling evidence of disparate impact
- C) Disparate impact does not apply to automated systems
- D) The algorithm is protected as a proprietary trade secret

[Federal Laws — Fair Housing]

20. An MLO refuses to show loan products to someone who speaks only Spanish, citing an inability to communicate. The MLO has no Spanish-speaking staff. Under the Fair Housing Act and ECOA:

- A) This is permissible — the lender cannot be required to provide bilingual services
- B) Refusing service based on language (when language correlates with national origin) raises national origin discrimination concerns — lenders must make reasonable efforts to serve LEP (limited English proficiency) borrowers; using language as a proxy for national origin violates the FHA and ECOA
- C) Refusing service to non-English speakers is permissible under ECOA
- D) Language is not a protected characteristic and raises no fair lending issues

[Federal Laws — HMDA]

21. A new FinTech mortgage lender (non-depository) originated 115 closed-end mortgage loans in Year 1 and 75 in Year 2. The HMDA coverage threshold for non-depository institutions (as of 2020) is 100 loans in each of the two preceding years. Is this lender required to report HMDA for Year 3?

- A) Yes — the lender exceeded 100 loans in Year 1
- B) No — the lender must exceed the threshold in EACH of the two preceding years; Year 2 (75 loans) is below the 100-loan threshold, so the lender is NOT required to report for Year 3
- C) Yes — any loans over 50 in a single year trigger reporting
- D) No — FinTech lenders are exempt from HMDA

[Federal Laws — RESPA]

22. Under RESPA, a 'controlled business arrangement' (old term) is now called an 'affiliated business arrangement.' The key disclosure requirement is that it must be made:

- A) At the time of loan closing only
- B) At or before the time of the referral — the consumer must be informed of the affiliated relationship BEFORE making the decision to use the referred service, not after they've already committed
- C) Within 3 business days of application
- D) Only when the consumer asks about it

[Federal Laws — TRID]

23. A borrower's loan will not have an escrow account for taxes and insurance. How is this disclosed on the Loan Estimate?

- A) The LE does not address escrow at all for non-escrowed loans
- B) The LE has an 'Escrow' section that discloses whether an escrow account exists; for loans without escrow, the LE shows the estimated amounts the borrower must pay for taxes and insurance directly, and states that no escrow will be established
- C) Non-escrowed loans use a different form than the standard LE
- D) The LE shows escrow only if required by the lender

[Federal Laws — ECOA]

24. A lender requires all applicants to provide 2 years of bank statements, but also requires Hispanic applicants to provide an additional 2 years (4 total). The lender claims this is due to 'income verification concerns' for borrowers from certain countries. This is:

- A) Permissible — income verification requirements may vary by applicant
- B) ECOA disparate treatment — requiring additional documentation based on national origin without objective business justification is discriminatory; requiring more documentation from Hispanic applicants than from similarly situated white applicants is a textbook ECOA violation
- C) Permissible if the income sources differ by country
- D) Permissible if the applicant is not a U.S. citizen

[Federal Laws — HOEPA]

25. Under HOEPA, after a high-cost mortgage is made, the lender is prohibited from refinancing that loan within what time period without a 'bona fide benefit' to the borrower?

- A) 6 months
- B) 12 months — refinancing a HOEPA high-cost mortgage within 12 months without a net tangible benefit constitutes prohibited 'loan flipping' under HOEPA
- C) 24 months
- D) The prohibition is permanent — HOEPA loans can never be refinanced

[Federal Laws — HMDA]

26. A financial institution's HMDA LAR must be submitted to regulators annually by:

- A) January 1 of the following year
- B) March 1 of the year following the calendar year in which the data was collected
- C) June 30 of the following year
- D) December 31 of the same year

[Federal Laws — TRID]

27. A seller provides a \$5,000 credit to the buyer for repairs at closing. How is this reflected on the Closing Disclosure?

- A) As income to the buyer on the LE
- B) As a credit on the buyer's side of the transaction, reducing the buyer's cash to close; it also appears as a debit on the seller's side — the CD shows both sides for purchase transactions
- C) As an increase in the loan amount
- D) As a reduction in the purchase price

[Federal Laws — ECOA]

28. Under Regulation B, when a lender denies a credit application, the adverse action notice must state that the applicant has the right to a statement of specific reasons for the denial within how many days?

- A) 7 days
- B) 60 days of the adverse action notice
- C) 30 days
- D) 90 days

■ ■ General Mortgage ■ ■

[General Mortgage — FHA Loans]

29. A borrower is purchasing a duplex for \$280,000. They will occupy one unit. FHA will lend at 96.5% LTV. How much is the down payment?

- A) \$9,800
- B) \$9,800 (3.5% of \$280,000 = \$9,800)
- C) \$14,000 (5% of \$280,000)
- D) \$28,000 (10% of \$280,000)

[General Mortgage — FHA Loans]

30. FHA's self-sufficiency test for 3-4 unit properties requires that:

- A) The borrower not have any other mortgage debt
- B) Net rental income from the non-owner-occupied units must equal or exceed the PITI on the entire property — confirming the property can support itself through rental income if needed
- C) The property be in a high-demand rental market
- D) All units must be occupied at the time of application

[General Mortgage — VA Loans]

31. A veteran is purchasing a home in an area where no VA-approved appraiser is available within a reasonable timeframe. The veteran needs to close quickly. Which of the following options is available?

- A) The veteran can waive the VA appraisal requirement
- B) The VA may authorize a temporary appraiser approval or the lender may request an expedited appraisal assignment through the VA — the VA appraisal cannot be waived, but processing can be expedited through the VA regional loan center
- C) The veteran can use a conventional appraisal instead
- D) The lender can perform an in-house appraisal

[General Mortgage — Conventional/PMI]

32. A borrower who had PMI for 3 years requests cancellation. The original home was purchased for \$250,000 with 10% down (\$25,000). The original loan amount was \$225,000. Based on the amortization schedule, the current balance is \$210,000. The current LTV based on original purchase price is:

- A) 83% (below the 84% threshold for cancellation request)
- B) 84% ($\$210,000 / \$250,000 = 84\%$ — does not yet reach the 80% threshold for borrower-requested cancellation based on original value)
- C) 80% — the borrower may now request cancellation
- D) 78% — cancellation is automatic

[General Mortgage — ARM Products]

33. A borrower takes a 5/1 ARM at 4.5% with caps of 2/2/5. After 5 years, the index has risen dramatically. At the FIRST adjustment, the rate adjusts to 6.5% (4.5% + 2% initial cap). At the SECOND adjustment, the index-based fully indexed rate is 9.0%. What rate applies?

- A) 9.0% — the fully indexed rate applies at each adjustment
- B) 8.5% — the periodic cap of 2% limits the second adjustment from 6.5% to a maximum of 8.5%
- C) 6.5% — the rate stays the same if it rose in the first adjustment
- D) 7.5% — the lifetime cap applies at the second adjustment

[General Mortgage — Underwriting/QM]

34. The 'Seasoned QM' category (finalized 2020, effective 2021) provides QM status to a loan if:

- A) The loan has been held for 12 months and has had no defaults
- B) The loan was originated under good-faith ATR analysis, has been held in the originating lender's portfolio for 36 months with no more than 2 delinquent payments of 30+ days and no payments 60+ days late, and other specific criteria — after 36 months of good performance, QM status is granted
- C) The loan was securitized by Fannie Mae
- D) The loan had a DTI below 43% at origination

[General Mortgage — Mortgage Math]

35. A \$400,000 mortgage at 7.5% for 30 years has a monthly P&I; payment of approximately \$2,797. After the first payment, how much goes to principal reduction?

- A) \$297
- B) \$2,500
- C) \$1,500
- D) \$797

[General Mortgage — Property/Appraisal]

36. An appraiser completes an appraisal for a lender. The homeowner (borrower) calls the appraiser to discuss 'comps that were missed.' Under USPAP and appraisal independence requirements:

- A) The appraiser should always discuss the appraisal with the borrower as a professional courtesy
- B) The appraiser should direct the borrower to their lender — the appraisal was ordered by the lender; direct communication with the borrower to discuss/change the value would compromise appraisal independence; the borrower has the right to submit additional information through the lender's reconsideration of value process
- C) The appraiser must add any comps the borrower suggests
- D) The borrower has the right to speak directly with the appraiser at any time

[General Mortgage — FHA Loans]

37. A non-occupying co-borrower joins an FHA loan. Under FHA guidelines, which of the following restrictions apply?

- A) Non-occupying co-borrowers are not permitted on FHA loans
- B) Non-occupying co-borrowers are permitted for 1-2 unit properties (typically up to 96.5% LTV); for 3-4 unit properties with a non-occupying co-borrower, the maximum LTV drops to 75%; the co-borrower must be a family member in most standard cases
- C) Non-occupying co-borrowers must have a higher credit score than the occupying borrower
- D) Non-occupying co-borrowers must own at least 25% of the property

[General Mortgage — VA Loans]

38. A veteran's Certificate of Eligibility (COE) shows 'prior approval required.' This means:

- A) The veteran's VA benefit has been permanently revoked
- B) Certain loan characteristics (such as loans for properties with unusual features or loans that exceed certain parameters) require prior approval from the VA regional loan center before the loan can be guaranteed
- C) All VA loans require this designation
- D) The veteran must reapply for VA eligibility before each purchase

[General Mortgage — Conventional/PMI]

39. Under Fannie Mae's HomeReady program, first-time homebuyers can put as little as what percentage down?

- A) 5%
- B) 3% — HomeReady allows 3% down from a variety of sources including gifts, grants, and community second mortgages
- C) 10%
- D) 0% for qualifying income areas

[General Mortgage — ARM Products]

40. Which of the following is TRUE about an ARM loan's 'index'?

- A) The index is set by the lender at origination and cannot change
- B) The index is an independently published interest rate (like SOFR, CMT, or Prime) that fluctuates based on market conditions; the lender has no control over index movement — it provides an objective basis for rate adjustments
- C) The index can be changed by the lender after origination
- D) The index equals the borrower's interest rate at all times

[General Mortgage — Underwriting/QM]

41. A lender determines that a borrower meets ATR requirements based on a documented analysis of all 8 required factors. However, the loan is non-QM (has interest-only features). A regulator examines the loan 2 years later after the borrower defaults. Under ATR rules, the lender:

- A) Faces automatic liability for the default
- B) Has the burden of demonstrating it conducted a good-faith, documented ATR analysis using the required factors; if properly documented, this provides a defense against ATR litigation — documentation is the lender's protection
- C) Faces no liability because non-QM loans are exempt from ATR
- D) Faces liability only if the default occurs within 1 year of origination

[General Mortgage — Mortgage Math]

42. A borrower takes a \$500,000 loan. The lender charges 2 discount points. What is the total dollar amount of discount points?

- A) \$5,000
- B) \$10,000
- C) \$2,500
- D) \$15,000

[General Mortgage — Property/Appraisal]

43. An appraiser determines that the HIGHEST AND BEST USE of a subject property is as a single-family residence (its current use). This means:

- A) The property could be developed as commercial property but the appraiser chose residential
- B) The current single-family residential use represents the legally permissible, physically possible, financially feasible, and maximally productive use of the site — highest and best use analysis must be performed for all appraisals
- C) The property cannot be rezoned
- D) The appraiser believes property values will decrease

[General Mortgage — FHA Loans]

44. Which of the following would DISQUALIFY a condominium from FHA Single Unit Approval (SUA)?

- A) The building is over 30 years old
- B) More than 15% of the units are 30+ days past due on HOA assessments
- C) The building has a community swimming pool
- D) The HOA has a professional management company

[General Mortgage — VA Loans]

45. The 'VA escape clause' (or amendatory clause) in a VA purchase contract provides that:

- A) The veteran can escape any contract for any reason
- B) The veteran is not obligated to complete the purchase if the property's reasonable value (per the VA NOV) is less than the purchase price — this protects veterans from being required to pay more than the VA-appraised value
- C) The lender can escape the VA guarantee if the property value declines
- D) The veteran can refinance any VA loan within 60 days

[General Mortgage — Mortgage Math]

46. A conventional loan requires a 20% down payment on a \$375,000 purchase. The borrower also wants to pay 1.5 discount points. Total cash needed at closing (down payment + points only, excluding other closing costs) is:

- A) \$74,250
- B) \$80,250
- C) \$75,000
- D) \$81,500

[General Mortgage — Conventional/PMI]

47. Fannie Mae's DU system categorizes loan decisions as 'Approve/Eligible.' What does 'Eligible' mean in this context?

- A) The borrower is eligible for government assistance
- B) The loan meets Fannie Mae's guidelines for purchase — both the borrower qualifies (Approve) AND the loan/property meets Fannie Mae's eligibility requirements (Eligible); an Approve without Eligible would not be purchasable by Fannie Mae
- C) The borrower has an excellent credit score
- D) Eligible means the loan is eligible for FHA insurance

[General Mortgage — ARM Products]

48. A borrower is concerned about 'payment shock' when choosing between a 5/1 ARM and a 30-year fixed rate. Which scenario produces the GREATEST payment shock?

- A) A 5/1 ARM at 5.0% (initial) adjusting to a fully indexed rate of 5.5%
- B) A 5/1 ARM at 3.0% (teaser start rate below the fully indexed rate of 6.5%) adjusting to the maximum first-year rate of 5.0% (with a 2% initial cap) — but even more if the rate hits 5% then continues rising in year 6
- C) A 30-year fixed rate mortgage — fixed rates never cause payment shock
- D) A 7/1 ARM at 4.0% with a 2% initial cap

[General Mortgage — Underwriting/QM]

49. Freddie Mac's Loan Product Advisor (LPA) is to Freddie Mac what Desktop Underwriter (DU) is to:

- A) HUD
- B) Fannie Mae
- C) FHA
- D) The CFPB

[General Mortgage — Mortgage Math]

50. A borrower's home has appreciated from \$300,000 to \$420,000. What is the percentage increase in value?

- A) 30%
- B) 40%
- C) 120%
- D) 14%

[General Mortgage — FHA Loans]

51. A borrower wants to use an FHA loan to purchase a mixed-use property with 4 residential units and 1 commercial unit on the ground floor (a small retail space). FHA financing is:

- A) Available for any mixed-use property
- B) Available for this property only if it is in a rural area
- C) Not available — FHA only finances properties that are primarily residential; mixed-use properties with commercial components typically do not qualify for FHA residential mortgage insurance
- D) Available only if the commercial space is vacant

[General Mortgage — VA Loans]

52. The VA Certificate of Eligibility (COE) can be obtained by:

- A) The veteran only — no lender can obtain it
- B) The veteran directly or through their lender via the VA's WebLGY system — most lenders with VA approval can obtain the COE electronically within minutes through the automated system
- C) Only through a VA regional office in person
- D) Through HUD's online system

[General Mortgage — Property/Appraisal]

53. An 'as-is' appraisal differs from a 'subject to' appraisal in that:

- A) An 'as-is' appraisal requires renovation before use
- B) An 'as-is' appraisal values the property in its current condition; a 'subject to' appraisal values the property assuming certain repairs or improvements are completed — commonly used for FHA/VA loans with required MPR repairs or construction loans
- C) An 'as-is' appraisal can only be used for refinances
- D) A 'subject to' appraisal is only for investment properties

[General Mortgage — Conventional/PMI]

54. Freddie Mac's primary product for first-time homebuyers with limited income that allows 3% down is:

- A) HomeReady
- B) Home Possible
- C) HomeFirst
- D) HomePath

[General Mortgage — Mortgage Math]

55. A borrower is taking a \$240,000 loan at 6% for 30 years. The monthly P&I payment is approximately \$1,439. After 10 years (120 payments), what percentage of the ORIGINAL loan amount remains unpaid? (Use approximate amortization — after 10 years on a 30-year loan, approximately 84% of principal remains)

- A) 78%
- B) 84% — after 10 years of payments on a 30-year mortgage at moderate interest rates, approximately 84% of the original principal remains outstanding due to early payment being heavily weighted toward interest
- C) 50%
- D) 60%

[General Mortgage — Property/Appraisal]

56. When a property has a large, well-landscaped yard and an in-ground pool compared to most neighborhood homes, the appraiser's adjustments for these features in the sales comparison approach should:

- A) Always add the full replacement cost of the pool and landscaping
- B) Reflect what the MARKET PAYS for these features — which is often significantly less than the cost to install them; a \$50,000 pool may add only \$15,000-20,000 in market value in many neighborhoods
- C) Not include the pool because pools are a liability
- D) Add the full listing price premium as stated in MLS listings

■ ■ Loan Origination ■ ■*[Loan Origination — Application/1003]*

57. A borrower is separated (not yet legally divorced) from their spouse and wants to apply for a mortgage individually. The MLO is in a community property state. Which of the following is the MOST accurate statement?

- A) The separated spouse's income and debts are irrelevant
- B) In a community property state, the non-applicant separated spouse's debts may be community property obligations that must be included in DTI; the MLO should determine whether the separation agreement has legally separated finances — legal advice may be needed
- C) The borrower cannot get a mortgage while separated
- D) The MLO should add the spouse as a co-borrower automatically

[Loan Origination — Income/DTI]

58. A borrower works as a physician with a base salary of \$200,000 and receives a year-end bonus of \$150,000. For the past 2 years, the bonus was \$150,000 each year. To use the full \$150,000 bonus for qualifying, the MLO should:

- A) Average only the most recent year's bonus
- B) Average the bonus over 24 months: $\$150,000/\text{year} \div 12 = \$12,500/\text{month}$; then add to base salary of $\$16,667/\text{month} = \$29,167/\text{month}$ total qualifying income
- C) Use only the base salary of \$200,000 for qualifying
- D) Use 50% of the bonus income as a conservative estimate

[Loan Origination — Credit Analysis]

59. A borrower applying for a conventional loan has a 720 credit score and wants to know why they are not getting the best rate pricing. The MLO explains that:

- A) 720 is a perfect score — you are getting the best rate
- B) Conventional loan pricing uses loan-level price adjustments (LLPAs) that consider both credit score AND loan-to-value — a 720 score at 90% LTV will have higher pricing than a 780 score at 70% LTV; the interaction of both factors determines pricing
- C) Rates are the same for all scores above 700
- D) Only credit scores above 750 qualify for any mortgage

[Loan Origination — Disclosures]

60. An MLO places a borrower in a loan product that is not in the borrower's best interest solely because it earns the MLO a higher commission. The borrower later discovers they could have qualified for a lower-rate product. This violates:

- A) Only HMDA reporting requirements
- B) Reg Z's loan originator compensation rules (tying compensation to loan terms/steering), UDAAP (potentially ABUSIVE and UNFAIR), and professional conduct obligations — multiple violations can result from a single act of inappropriate steering
- C) Only state licensing regulations
- D) Only RESPA Section 8

[Loan Origination — Products/Programs]

61. A borrower asks about the difference between a 'rate-term' refinance and a 'cash-out' refinance. The key distinction is:

- A) Rate-term refinances require no appraisal
- B) Cash-out refinances allow the borrower to take out equity above allowable closing costs while rate-term refinances change only the rate and/or term with minimal cash back; cash-out typically has higher rates and stricter LTV limits
- C) Rate-term refinances are only for FHA loans
- D) Cash-out refinances require a minimum 5-year waiting period

[Loan Origination — Income/DTI]

62. A borrower who is newly self-employed (9 months in business) wants to use their business income for qualifying. Under agency guidelines, this borrower:

- A) Qualifies immediately using year-to-date business income
- B) Generally cannot use self-employment income for qualifying until 2 years of self-employment history is documented on tax returns — under 2 years typically requires at least 1 year of tax returns AND the same field for 2 years (employment + self-employment)
- C) Must wait 5 years before using business income
- D) Can use projected business income with a CPA letter

[Loan Origination — Credit Analysis]

63. A borrower disputes a medical collection that appears on their credit report. The dispute is pending at the credit bureau. The MLO is about to submit the loan file to underwriting. The MLO should:

- A) Wait for the dispute to be resolved before submitting the file
- B) Submit the file but document the pending dispute; if the collection is medical and the underwriter is applying Fannie Mae guidelines, medical collections are generally excluded; however, a disputed derogatory account may need to be resolved before final approval to avoid score changes
- C) Ignore the dispute — it has no impact on the credit score
- D) Advise the borrower to withdraw the dispute immediately

[Loan Origination — Disclosures]

64. At what point in the process can a lender first legally collect an appraisal fee from the borrower?

- A) Before the application is submitted
- B) Only after the borrower has received the Loan Estimate AND indicated their intent to proceed — the appraisal fee (like all fees except the credit report) cannot be collected before LE delivery and borrower intent to proceed
- C) After the borrower's credit report is pulled
- D) After the property is identified

[Loan Origination — Processing/Closing]

65. In a real estate transaction, 'escrow' can refer to which of the following?

- A) Only the mortgage lender's account
- B) Both: (1) the escrow/impound account the lender maintains to pay taxes and insurance on behalf of the borrower; AND (2) the third-party escrow company (common in western states) that facilitates the closing by holding funds and documents until all conditions are met — both are legitimate uses of the term 'escrow'
- C) Only the title company's services
- D) Only the down payment held by the seller

[Loan Origination — Income/DTI]

66. A borrower is a 50% owner of an LLC that files taxes as a partnership (Form 1065). The borrower's qualifying income includes:

- A) Only the salary paid by the LLC to the borrower
- B) The borrower's 50% pro-rata share of the partnership's net income (from Form K-1), plus any guaranteed payments, minus any non-recurring items, plus non-cash deductions like depreciation — averaged over 2 years
- C) The total gross revenue of the LLC divided by 2 for the 50% share
- D) Only the verified distributions taken from the LLC

[Loan Origination — Credit Analysis]

67. A borrower has a judgment against them for \$15,000. Under conventional (Fannie Mae) guidelines, this judgment:

- A) Automatically disqualifies the borrower
- B) Must be addressed: either paid off before or at closing, OR a payment plan must be in place with a minimum 3-month payment history, with the monthly payment included in DTI
- C) Can be ignored if the borrower disputes it
- D) Is excluded from DTI if it is over 3 years old

[Loan Origination — Application/1003]

68. Under HMDA, the data point 'Property Type' must distinguish between which categories?

- A) Single-family and multi-family only
- B) One-to-four-unit single-family, multifamily (5+ units), and manufactured housing — plus distinctions between site-built and manufactured; the property type affects HMDA reporting requirements and fair lending analysis
- C) Only condominiums and single-family homes
- D) Only owner-occupied and investment properties

[Loan Origination — Disclosures]

69. The TRID 'Written List of Providers' allows borrowers to shop for certain settlement services. Which of the following services can TYPICALLY be on the Written List of Providers (allowing the borrower to shop)?

- A) Lender origination fee
- B) Title services and title insurance
- C) Appraisal fee (required third-party service)
- D) Transfer taxes

[Loan Origination — Products/Programs]

70. A borrower asks about an FHA Energy Efficient Mortgage (EEM). An FHA EEM allows:

- A) Borrowers to purchase solar panels with a separate loan
- B) Additional loan funds above the standard FHA limit (up to a cost-effective energy improvement amount) to be added to the mortgage to finance energy-efficient improvements to the property — the higher loan amount is permissible even if it exceeds FHA's maximum in some cases
- C) Interest rate reductions for energy-efficient homes
- D) PMI waivers for Energy Star certified homes

[Loan Origination — Processing/Closing]

71. A 'buyer's title insurance policy' and a 'lender's title insurance policy' are different in that:

- A) The buyer's policy is optional; the lender's policy is always required
- B) The lender's policy protects the lender's interest in the property up to the loan amount; the owner's (buyer's) policy protects the buyer's equity for the full property value; both policies cover title defects existing before the policy date
- C) The buyer's policy covers future title defects; the lender's does not
- D) They are identical — one policy covers both

[Loan Origination — Credit Analysis]

72. An MLO reviews a borrower's credit and sees 'derogatory marks' on 3 of 10 accounts, all from 4 years ago, with nothing negative since. The MLO should:

- A) Automatically deny the loan
- B) Review the overall credit profile — isolated negative events with a clean recent history may be acceptable under many program guidelines; the overall creditworthiness, current scores, and pattern (isolated vs. pattern) are most relevant; a strong recent history often compensates for older negatives
- C) Require the borrower to pay off all 3 accounts immediately
- D) Charge a higher rate automatically

[Loan Origination — Income/DTI]

73. A borrower earns \$8,000/month gross. Their total monthly obligations including the proposed housing payment are \$3,600. They have 12 months of PITI reserves (\$2,200/month PITI $\times$ 12 = \$26,400 reserves). The back-end DTI is 45%. Under Fannie Mae, this borrower:

- A) Does not qualify — DTI exceeds 45%
- B) May qualify — 45% DTI is at Fannie Mae's standard limit; 12 months reserves (a strong compensating factor) could support DU approval; if DU returns Approve/Eligible, the loan is approvable
- C) Automatically qualifies — 45% DTI is below limits
- D) Would need to reduce DTI to 43% for qualification

[Loan Origination — Application/1003]

74. A borrower who is an undocumented immigrant (no SSN) wants to apply for a mortgage. Which of the following is MOST ACCURATE?

- A) Undocumented immigrants can never receive mortgage financing
- B) Some lenders offer 'Individual Taxpayer Identification Number' (ITIN) loans for borrowers without an SSN — ITIN loans are portfolio products not sold to Fannie/Freddie; the SAFE Act's licensing requirements apply to the MLO regardless of the borrower's immigration status
- C) Only FHA loans are available for ITIN borrowers
- D) The MLO must report the borrower to immigration authorities

[Loan Origination — Products/Programs]

75. Which of the following best describes a 'down payment assistance' (DPA) program?

- A) A program that eliminates the need for any down payment
- B) A program offered by state or local housing agencies, nonprofits, or employers that provides grants, forgivable loans, or second mortgages to cover the required down payment — often combined with FHA, VA, USDA, or conventional loans
- C) A seller's agreement to carry back a note for the difference
- D) A lender's decision to waive the down payment requirement

[Loan Origination — Disclosures]

76. A borrower signs the Loan Estimate but then later verbally asks the MLO to change the loan product from a 30-year fixed to a 15-year fixed. Under TRID, this change:

- A) Does not require a new LE — verbal changes are processed at closing
- B) Constitutes a borrower-initiated changed circumstance (new information — the borrower's choice changed) that allows the lender to re-issue a revised Loan Estimate reflecting the new product; the revised LE then governs the disclosed costs
- C) Requires the borrower to reapply completely
- D) Is not permitted after the LE is signed

[Loan Origination — Processing/Closing]

77. At loan closing, the lender's 'closing instructions' sent to the settlement agent specify:

- A) Only the closing date
- B) The conditions the settlement agent must verify before funding the loan — typically: all required documents signed/notarized, required conditions cleared, homeowner's insurance in place, title policy issued, and recording in process; these instructions authorize the settlement agent to fund the loan when all conditions are met
- C) The seller's net proceeds only
- D) The borrower's wire transfer instructions

[Loan Origination — Income/DTI]

78. A borrower is applying for a mortgage with a 55% DTI. They have: 760 credit score, 30% LTV (very low LTV indicating large down payment), 18 months of reserves, and stable employment for 10 years. Under Fannie Mae's DU, this loan might:

- A) Automatically be denied — 55% DTI exceeds all limits
- B) Exceed Fannie Mae's 50% maximum DTI limit for DU — a 55% DTI cannot be approved through DU regardless of compensating factors; the borrower would need to qualify for a non-QM portfolio loan or reduce their DTI
- C) Be approved because of the 30% LTV and 760 credit score
- D) Be approved with manual underwriting only

[Loan Origination — Credit Analysis]

79. A borrower experienced a major economic event: job loss led to a foreclosure 2 years ago. Since then, the borrower re-established credit (720 score) and has stable employment. For a Fannie Mae conventional loan, the waiting period from foreclosure completion is:

- A) 2 years with strong compensating factors
- B) 7 years from the completion of the foreclosure proceedings (3 years for FHA, 2 years with extenuating circumstances on FHA)
- C) 4 years with documented extenuating circumstances — and without extenuating circumstances, 7 years
- D) 4 years from discharge/dismissal

[Loan Origination — Processing/Closing]

80. The term 'seasoning' in mortgage lending refers to:

- A) The process of determining whether a borrower qualifies for a loan
- B) The length of time a borrower has owned a property, held an account, or made payments — most commonly applies to: (1) how long a borrower has owned a property before cash-out refinancing; (2) how long a period of time has passed since a major derogatory event; (3) how long funds have been in a bank account before using for closing
- C) The time required to process a mortgage application
- D) The length of time an MLO must be licensed before originating loans

[Loan Origination — Products/Programs]

81. An 'interest-only' mortgage during the interest-only period means that:

- A) The borrower pays both principal and interest but at a reduced rate
- B) The borrower pays ONLY interest — no principal reduction occurs, and the loan balance remains at the original amount; when the IO period ends, payments increase significantly to a fully amortizing level over the remaining term
- C) The loan is automatically forgiven after the IO period

D) The borrower has the OPTION to pay principal or not

[Loan Origination — Income/DTI]

82. The standard for calculating qualifying income for a borrower on a salary with an expected future raise (not yet effective) is:

- A) Use the expected future salary immediately
- B) Use the current documented salary only — future income cannot be used for qualifying unless it has already taken effect and is documented (offer letter with start date, first pay stub); expected raises are not qualifying income
- C) Average the current and expected salary
- D) Use the average of the past 2 years and the future projected income

[Loan Origination — Application/1003]

83. When a mortgage application is submitted online and the system automatically pulls credit with borrower consent, the TRID application is considered received when:

- A) The borrower's credit score is returned
- B) The system has collected all six required pieces of information AND the borrower has submitted the application — the application date is when the institution receives (all six pieces of) the application, not when credit is pulled
- C) The processor manually reviews the file
- D) The lender sends a confirmation email

[Loan Origination — Disclosures]

84. A borrower on an FHA loan will have MIP collected in escrow monthly. The Initial Escrow Account Disclosure Statement must show the monthly MIP amount. An error in the Initial Escrow Statement showing the wrong MIP amount:

- A) Has no impact because the Note controls
- B) Requires correction within 60 days — RESPA requires annual escrow statements and any errors found must be corrected in the next annual statement; the servicer may also issue a corrected initial escrow statement
- C) Automatically voids the escrow account
- D) Requires the loan to be rescinded

[Loan Origination — Products/Programs]

85. A 'reverse mortgage' (HECM) is designed for senior homeowners. The loan balance INCREASES over time because:

- A) The interest rate on a HECM is always above market
- B) Interest accrues on the loan balance with no monthly payment required — the unpaid interest is added to the loan balance; the loan is due when the last eligible borrower leaves the home, sells, or passes away; FHA's MIP also accrues on the balance
- C) HECM borrowers must pay for property maintenance from loan proceeds
- D) The FHA charges an annual fee that compounds

[Loan Origination — Processing/Closing]

86. A 'power of attorney' (POA) used at mortgage closing allows:

- A) The lender to sign documents on the borrower's behalf
- B) An authorized agent (attorney-in-fact) to sign legal documents on behalf of the borrower when the borrower cannot attend closing in person — the POA must be specific, durable, and acceptable to the lender and title company; lenders have strict POA requirements
- C) Any family member to sign on the borrower's behalf without documentation
- D) The borrower to avoid personal liability on the loan

■ ■ Ethics ■ ■

[Ethics — UDAAP Unfair]

87. In the 2022 enforcement action against a large mortgage servicer, the CFPB cited UDAAP UNFAIR practices for failing to apply borrower payments promptly and charging late fees as a result. Which element of UNFAIR was most central?

- A) The servicer's intent to harm borrowers
- B) The injury (late fees, credit damage) was NOT reasonably avoidable — borrowers submitted timely payments but could not control the servicer's processing failures; they had no ability to prevent the harm caused by the servicer's internal failures
- C) The servicer made misleading representations to borrowers
- D) The servicer took unreasonable advantage of borrower reliance

[Ethics — UDAAP Deceptive]

88. A mortgage company's social media advertisements show borrowers receiving 'guaranteed pre-approvals in 60 seconds.' In reality, the '60-second pre-approval' is a soft credit pull with no income verification — it means almost nothing about actual eligibility. This advertising is MOST LIKELY:

- A) Permissible advertising puffery
- B) DECEPTIVE — 'guaranteed pre-approval' creates a false impression that the consumer has been meaningfully evaluated and approved; a reasonable consumer would understand this to mean more than a 60-second soft pull; the representation is material (consumers choose to proceed with the application based on the false 'approval')
- C) Permissible if the fine print explains it's not a real approval
- D) Only an issue if the consumer is eventually denied

[Ethics — UDAAP Abusive]

89. A financial services company provides 'free mortgage consultations' that are actually high-pressure sales presentations. The representatives are incentivized to place borrowers in the company's most expensive product regardless of suitability. Vulnerable borrowers are specifically targeted. This conduct is MOST LIKELY:

- A) Permissible aggressive marketing
- B) Both ABUSIVE (taking unreasonable advantage of consumer trust in a 'consultation' and exploiting vulnerability) and potentially UNFAIR (causing substantial, unavoidable financial harm through unsuitable product placement) — multiple UDAAP violations simultaneously
- C) Only an FTC issue, not a CFPB issue
- D) Permissible if borrowers sign consent to receive the presentation

[Ethics — Fraud for Profit]

90. An appraisal management company (AMC) is pressured by a lender to provide appraisals that consistently come in at or above the purchase price. The AMC removes appraisers from its panel who provide accurate lower values and retains appraisers who provide inflated values. This systemic practice is:

- A) Permissible — AMCs select appraisers based on quality metrics
- B) Appraisal pressure and blacklisting of independent appraisers violates appraisal independence requirements under FIRREA and Dodd-Frank; the AMC and lender may face regulatory action for systemic appraisal fraud enabling inflated loan values across hundreds or thousands of transactions
- C) Permissible because AMCs have business discretion in panel management
- D) Only an issue for individual appraisers, not the AMC or lender

[Ethics — Professional Conduct]

91. An MLO receives an expensive piece of marketing equipment (a \$2,000 custom display) from a title company along with an offer to 'co-market' events. The title company covers 100% of all marketing expenses. Under RESPA and UDAAP:

- A) This is a legitimate co-marketing arrangement
- B) This arrangement raises serious RESPA Section 8 concerns — if the title company is covering all marketing costs (essentially paying for things of value) in a context where the MLO refers clients to the title company, the arrangement functions as a referral fee; legitimate co-marketing requires proportionate contributions from each party based on their actual benefit and cost
- C) Co-marketing is always permissible under RESPA

D) This is permissible because the equipment has marketing value to the title company too

[Ethics — Fraud for Housing]

92. A buyer and seller agree on a purchase price of \$350,000, but the written contract shows \$375,000. The \$25,000 difference is secretly given back to the buyer as 'renovation funds' at closing (but not disclosed to the lender). This is:

- A) A permissible seller concession
- B) A 'purchase price kickback' or contract price fraud — the lender is deceived about the actual purchase price; the inflated contract price enables a larger loan than the actual transaction warrants; both buyer and seller participate in fraud against the lender; both may face criminal charges
- C) Permissible if the renovation funds are used for improvements
- D) Only a problem if the lender discovers it

[Ethics — Predatory Lending]

93. An MLO charges a 'documentation fee' of \$2,500, a 'processing fee' of \$1,500, and an 'administrative fee' of \$1,000 on a \$150,000 loan — in addition to a 1-point origination fee (\$1,500). Total fees = \$6,500 = 4.3% of the loan amount. Under Reg Z's QM points-and-fees limit (3% for loans $\geq$ \$100,000), this loan:

- A) Qualifies as a General QM — the fees are acceptable
- B) Cannot be a General QM — the 4.3% total points and fees exceeds the 3% General QM threshold; this is a non-QM loan and the excessive fees may also indicate predatory practices under UDAP
- C) Qualifies if any single fee is below \$2,000
- D) Has no QM implications — documentation fees are excluded

[Ethics — BSA/AML]

94. A mortgage company employee discovers that a colleague is systematically omitting suspicious transactions from SAR filings to help a client avoid BSA scrutiny. The discovering employee should:

- A) Wait to see if the colleague stops on their own
- B) Report the conduct to the company's compliance/BSA officer and, if the company fails to act, consider reporting to the appropriate federal regulator — employees have whistleblower protections for reporting BSA violations in good faith
- C) Take no action — it's the colleague's responsibility
- D) Tell the client they should expect more scrutiny

[Ethics — UDAP Unfair]

95. The CFPB's UDAP Unfair standard has been applied to a lender's practice of making it extremely difficult to cancel optional add-on products (like payment protection plans) by requiring borrowers to call during very limited hours, navigate complex phone trees, and submit written documentation — resulting in millions of borrowers continuing to pay for unwanted products for months or years. This is UNFAIR because:

- A) The products have no value
- B) The injury (continued payments for unwanted products) is not reasonably avoidable — the deliberately complex cancellation process was designed to make avoidance unreasonably burdensome; the injury was substantial across thousands of consumers; no countervailing benefit justified the obstacle course
- C) The products were never properly disclosed
- D) The lender was hiding the existence of the products

[Ethics — Fraud for Profit]

96. A mortgage broker submits a loan application with fabricated W-2s and pay stubs, claiming the borrower earns \$120,000/year when they actually earn \$45,000/year. The lender approves the loan based on the false documents. When the borrower defaults, which parties face potential criminal liability?

- A) Only the borrower who ultimately signed the application
- B) Both the mortgage broker (who created/submitted the false documents — bank fraud, wire fraud) and potentially the borrower (if they knew and consented) — the broker faces the most severe criminal exposure for affirmatively creating false documentation
- C) Only the lender for approving without adequate verification

D) No criminal liability — this is a civil matter

[Ethics — Professional Conduct]

97. An MLO who is also a HUD-approved housing counselor refers clients from their counseling practice to their mortgage origination practice. This creates an inherent conflict of interest because:

- A) Housing counselors and MLOs work in unrelated fields
- B) HUD-approved housing counselors are expected to provide independent, unbiased advice in the consumer's best interest; when the counselor also profits from originating the mortgage, their independence is compromised — HUD prohibits approved counseling agencies from referring clients to in-house loan origination services
- C) This arrangement is promoted by HUD to provide one-stop shopping
- D) This is permissible if the borrower consents

[Ethics — UDAAP Deceptive]

98. A lender sends 'pre-approval' letters to consumers using a mailing list, implying the consumer has been evaluated and approved for a specific loan amount. In reality, no credit evaluation has been performed — the 'pre-approval' is a mass-marketing solicitation. This practice:

- A) Is permissible standard mortgage marketing
- B) May be DECEPTIVE — if a reasonable consumer would understand 'pre-approval' to mean they have been individually evaluated and found creditworthy for the stated amount, while the letter is actually a mass solicitation with no individual evaluation, the representation is misleading and material (consumers are likely to act on a 'pre-approval')
- C) Is permissible if the letter includes any disclaimer
- D) Only violates FCRA, not UDAAP

[Ethics — Predatory Lending]

99. Which of the following CORRECTLY identifies a predatory lending practice and the population MOST FREQUENTLY targeted?

- A) High-rate adjustable products targeting young professionals
- B) Loan flipping combined with equity stripping targeting elderly homeowners with substantial equity and limited financial sophistication — repeatedly refinancing to generate fees while depleting the borrower's primary wealth asset
- C) Credit card churning targeting college students
- D) Auto loan rollovers targeting military servicemembers

[Ethics — BSA/AML]

100. Which of the following is NOT required content for a Suspicious Activity Report (SAR)?

- A) Description of the suspicious activity
- B) The identity of the subject if known
- C) Confirmation that the filing institution has notified law enforcement separately from the SAR (tipping off the subject is prohibited)
- D) The amount of the transaction(s) involved

[Ethics — UDAAP Unfair]

101. The CFPB's 'countervailing benefits' analysis for UNFAIR practices considers whether the harmful practice also provides benefits that could justify the harm. In mortgage lending, which of the following is LEAST LIKELY to constitute a valid countervailing benefit?

- A) Lower interest rates achieved by processing efficiencies that benefit all borrowers
- B) Broader access to credit for underserved populations through more flexible underwriting (even if some fees are slightly higher)
- C) The lender's profit margin on the transaction
- D) Innovation in mortgage products that ultimately benefits consumers through more options

[Ethics — Fraud for Housing]

102. A borrower with no legitimate income is applying for a mortgage with a 'stated income' (no-doc) non-QM loan product. The MLO knows the borrower has no ability to repay but submits the application anyway because the non-QM lender will fund it. This MLO conduct violates:

- A) No regulations — non-QM loans have no income requirements
- B) ATR (the lender must still make a good-faith determination of ability to repay even for non-QM loans), UDAAP (placing a borrower in a loan with no ability to repay is both UNFAIR and potentially ABUSIVE), and potentially constitutes mortgage fraud if the MLO assists in misrepresenting income
- C) Only state licensing regulations
- D) Only HOEPA if the fees are above the threshold

[Ethics — UDAAP Abusive]

103. An MLO consistently recommends a particular loan product to elderly borrowers, claiming it is the 'safest option for seniors.' The product has higher fees and rates than alternatives. The borrowers trust the MLO completely and do not shop elsewhere. The MLO earns the highest commission on this product. Under UDAAP ABUSIVE:

- A) The conduct is permissible — the MLO knows senior needs best
- B) This is potentially ABUSIVE — the MLO takes unreasonable advantage of the elderly borrowers' reasonable reliance on the MLO to act in their interest; the borrowers' trust prevents them from protecting themselves (shopping), and the MLO exploits this for personal financial gain (highest commission); this is the 'unreasonable advantage of reasonable reliance' prong of ABUSIVE
- C) The conduct is only a licensing issue
- D) The conduct is permissible if the product is actually safe

[Ethics — Predatory Lending]

104. A lender offers ARM loans with a start rate of 1.99% (teaser) with disclosure in the contract that the rate can increase to a maximum of 13.99%. The loan is marketed as 'affordable.' A borrower earning \$4,000/month is placed in this loan with a starting PITI of \$1,200 (30% housing ratio). At the maximum rate, the PITI would be \$3,200 (80% housing ratio). This product is MOST LIKELY:

- A) A legitimate disclosed ARM product
- B) A predatory loan design — while the low start rate and maximum are 'disclosed,' the product is fundamentally unsuitable for the borrower; a reasonable lender would recognize that a 30-year mortgage with a potential 80% housing ratio is unlikely to be repaid; this potentially violates ATR and UDAAP (UNFAIR — substantial injury; ABUSIVE — taking advantage of borrower's inability to understand the long-term risk)
- C) Permissible only for investment properties
- D) Permissible because the disclosure was made

[Ethics — Professional Conduct]

105. The final ethics principle for Phase 3: An MLO's primary obligation is to:

- A) Maximize the lender's profitability on each transaction
- B) Act honestly, ethically, and in compliance with all applicable laws and regulations; when the borrower's best interest conflicts with the MLO's financial interest, the borrower's interest must prevail — this is the foundational principle of ethical mortgage origination
- C) Close as many loans as possible regardless of borrower suitability
- D) Maximize the real estate agent's satisfaction to generate referrals

■ ■ SAFE Act ■ ■

[SAFE Act — Pre-License Education]

106. An MLO candidate fails the national SAFE MLO Test on their first attempt. Under NMLS rules, how soon may they retake the test?

- A) Immediately — as many times as needed
- B) 30 days must pass after each failed attempt (after the first and second fails); after three failed attempts, the candidate must wait 180 days before retesting
- C) 60 days after each failure
- D) The candidate is permanently banned after 3 failures

[SAFE Act — Continuing Education]

107. An MLO who holds licenses in 3 states (California, Nevada, and Arizona) must complete annual CE. How many hours of CE must they complete?

- A) 24 hours (8 per state)
- B) 8 hours minimum — the SAFE Act requires 8 hours nationally; states may require additional state-specific hours, which must be added to the 8 national hours; the MLO must check each state's requirements for any additional hours above the 8 national minimum
- C) 16 hours (8 base + 8 additional)
- D) 20 hours total

[SAFE Act — Licensing Requirements]

108. An MLO is terminated for cause by their employer due to a compliance violation. The MLO's state license:

- A) Automatically terminates when employment ends
- B) Does not automatically terminate — the license is the individual's, not the employer's; however, the MLO must update their NMLS sponsorship status and cannot originate loans without an active employer sponsorship; the state regulator may also investigate the termination
- C) Transfers to the new employer automatically
- D) Is suspended pending investigation by the state

[SAFE Act — NMLS Registration]

109. Under NMLS, an employer (mortgage company) must report to NMLS when an MLO leaves employment and the reason for separation includes misconduct. This is reported through:

- A) A direct call to the state licensing authority
- B) NMLS Form MU4R (the employment termination report) — the employer must report within a specified timeframe when an MLO's employment is terminated for cause, including the specific reason; this information may be reviewed by state regulators
- C) A written letter to the CFPB
- D) No reporting is required for employment terminations

[SAFE Act — Transitional License]

110. An MLO who uses the 120-day transitional license in a new state but fails to submit a complete license application during that period may:

- A) Continue originating loans until a denial is issued
- B) Not originate any mortgage loans after the transitional period expires — the transitional license is temporary, and expiration without a pending complete application means the MLO cannot originate in that state
- C) Continue under the transitional authority indefinitely if the application is pending
- D) Convert to a registered MLO status automatically

[SAFE Act — License Bars]

111. An MLO was convicted of a crime, then received a pardon from the state governor. Does the pardon restore MLO licensing eligibility?

- A) Yes — a full pardon eliminates the conviction for all purposes
- B) It depends on the type of conviction: a pardon may restore some civil rights but the SAFE Act's permanent bar explicitly covers convictions for financial crimes; a pardon from a state executive does not eliminate the federal SAFE Act bar; the individual should seek legal counsel and guidance from the state licensing authority
- C) A pardon always removes all licensing bars
- D) Pardons are not recognized by NMLS

[SAFE Act — State Law]

112. An MLO in a state that requires 8 hours of state-specific CE in addition to the 8-hour national SAFE Act CE must complete:

- A) 8 hours total (the state and national requirements overlap)
- B) 16 hours total — 8 hours of SAFE Act national CE plus 8 hours of state-specific CE; the requirements are cumulative, not duplicative; the national CE fulfills the federal floor while the state CE addresses state-specific mortgage law topics
- C) 8 hours national plus completion of 1 additional state course
- D) 12 hours total

[SAFE Act — NMLS Registration]

113. Which of the following statements about the NMLS Unique Identifier is MOST ACCURATE?

- A) It changes when the MLO moves to a new state
- B) It is permanent, assigned once, follows the MLO through all states and employers for their entire career, and must appear on all loan documents, advertisements, and solicitations — consumers can look it up in NMLS Consumer Access
- C) It is valid for 3 years and must be renewed
- D) It is only required for MLOs in states with more than 100,000 residents

[SAFE Act — Licensing Requirements]

114. A borrower's real estate agent is also a licensed MLO in the same state. The agent originates the buyer's mortgage for the home they are also representing the buyer to purchase. This situation:

- A) Is always illegal and prohibited under the SAFE Act
- B) Is not prohibited by the SAFE Act (which governs licensing, not conflicts of interest per se) but raises significant ethical concerns, potential Reg Z conflicts of interest, and is prohibited by many lenders' internal policies; state law may impose additional restrictions
- C) Is encouraged by the SAFE Act to provide one-stop shopping
- D) Is prohibited by RESPA Section 8 automatically

[SAFE Act — Pre-License Education]

115. A mortgage company hires a new loan officer who has worked as a registered MLO at a bank for 15 years. Before originating loans as a state-licensed MLO, this individual must:

- A) Only pass the SAFE exam — no education is required for experienced MLOs
- B) Complete 20 hours of approved pre-licensing education, pass the national SAFE MLO Test (and any state-specific test), submit an application to NMLS with fingerprints and credit report, and receive a state license — prior experience as a registered MLO does not waive pre-licensing requirements
- C) Submit only the NMLS application — experience substitutes for education and testing
- D) Complete 10 hours of education (50% reduction for 15 years of experience)

[SAFE Act — Continuing Education]

116. An MLO has been continuously licensed for 15 years without any interruption. They ask whether their long track record reduces their CE obligation. The answer is:

- A) Yes — after 10 years, the CE requirement reduces to 4 hours
- B) No — the SAFE Act's 8-hour annual CE requirement applies to ALL state-licensed MLOs regardless of years of experience or tenure; there is no reduction for longevity or experience
- C) Yes — after 5 years, the ethics requirement is waived
- D) Yes — after 15 years, CE is optional

[SAFE Act — Transitional License]

117. Which of the following MLOs would NOT qualify for the transitional license provision?

- A) A state-licensed MLO in Ohio moving to a lender licensed in Florida
- B) A registered MLO (bank employee) becoming a state-licensed MLO at an independent mortgage company
- C) A state-licensed MLO whose license has lapsed for 6 months due to failure to complete CE
- D) A registered MLO who transfers from a national bank to a federally chartered thrift

[SAFE Act — License Bars]

118. The SAFE Act's permanent bar is triggered by conviction for 'breach of trust.' Which of the following crimes MOST CLEARLY involves breach of trust?

- A) Felony reckless driving
- B) Felony assault
- C) Embezzlement by an employee from an employer — taking funds entrusted to you for a specific purpose
- D) Felony drug possession

[SAFE Act — Continuing Education]

119. The 3-hour ethics component of annual CE must specifically cover which topics?

- A) Investment analysis and portfolio management
- B) Fraud, consumer protection issues, and fair lending laws — these three topics are specifically required in the ethics component of annual CE and in the ethics component of pre-licensing education
- C) State-specific foreclosure procedures
- D) VA and FHA loan program guidelines

[SAFE Act — Licensing Requirements]

120. Phase 3, Final Question: An MLO originating a residential mortgage loan must have an active license in which state?

- A) The state where the lender is headquartered
- B) The state where the property is located AND/OR the state where the borrower resides, depending on state law — MLOs must be licensed in the state(s) where they conduct business; most states require licensure based on property location
- C) The state where the MLO physically works
- D) Only the federal registration if the MLO works for a bank

EXAM Phase 3 — Exam 5 — ANSWER KEY WITH EXPLANATIONS

Correct answers are shown with ✓. Explanations include why tricky wrong answers are wrong.

Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS
1	B	2	C	3	A	4	D	5	B
6	C	7	A	8	D	9	B	10	C
11	A	12	D	13	B	14	C	15	A
16	D	17	B	18	C	19	A	20	D
21	B	22	C	23	A	24	D	25	B
26	C	27	A	28	D	29	B	30	C
31	A	32	D	33	B	34	C	35	A
36	D	37	B	38	C	39	A	40	D
41	B	42	C	43	A	44	D	45	B
46	C	47	A	48	D	49	B	50	C
51	A	52	D	53	B	54	C	55	A
56	D	57	B	58	C	59	A	60	D
61	B	62	C	63	A	64	D	65	B
66	C	67	A	68	D	69	B	70	C
71	A	72	D	73	B	74	C	75	A
76	D	77	B	78	C	79	A	80	D
81	B	82	C	83	A	84	D	85	B
86	C	87	A	88	D	89	B	90	C
91	A	92	D	93	B	94	C	95	A
96	D	97	B	98	C	99	A	100	D
101	B	102	C	103	A	104	D	105	B
106	C	107	A	108	D	109	B	110	C
111	A	112	D	113	B	114	C	115	A
116	D	117	B	118	C	119	A	120	D

1. A lender issues a Loan Estimate showing a \$500 origination fee. Before closing, the lender decides to charge \$800. The lender argues there was a valid changed circumstance. For lender origination fees, a valid changed circumstance:

✓ **B) Does NOT allow re-disclosure of lender origination fees — lender origination charges are in the ZERO TOLERANCE category and cannot increase regardless of changed circumstances unless the borrower requests a different loan product**

Lender origination charges are ZERO TOLERANCE — they cannot increase from the LE to the CD under any circumstances EXCEPT when a valid changed circumstance allows re-issuance of the LE AND the re-issued LE shows the higher fee. Lender errors and business decisions to charge more are NOT valid changed circumstances. The borrower must receive a new LE with the higher fee and have 3 business days to review it before proceeding.

2. Under TRID, a borrower receives the Loan Estimate on April 1. The earliest the loan may close (be consummated) under the 7-business-day waiting period is:

✓ **C) April 8 (7 days later)**

7 business days after April 1 (the LE delivery date). Business days = all calendar days except Sundays and federal public holidays. April 2 (day 1), 3 (day 2), 4 (day 3), 5 (day 4), 6 Saturday (day 5), 7 Sunday (skip), 8 (day 6), 9 (day 7). The earliest closing date is April 9. The borrower may waive this period only in a documented personal financial emergency.

3. A title company offers free closing gifts (AirPods worth \$250) to all borrowers who use their services. An MLO refers borrowers exclusively to this title company. Under RESPA Section 8:

✓ **A) This is permissible — the gift goes to the borrower, not the MLO**

RESPA Section 8 is broad — gifts to borrowers used as a mechanism to attract referrals from MLOs are scrutinized. The CFPB has analyzed whether programs where title companies provide benefits that make them attractive for referrals constitute indirect referral arrangements. The key question: is the gift to the borrower designed to generate referrals from the MLO? If so, it may violate Section 8.

4. TILA's disclosure of the 'amount financed' on the Closing Disclosure represents:

✓ **D) The balance owed at the end of year 5**

Amount Financed = Loan Amount - Prepaid Finance Charges (loan origination fees, discount points, required PMI included in the finance charge). If a \$200,000 loan has \$3,000 in prepaid finance charges, the Amount Financed = \$197,000. This figure appears on the CD under the comparison section and represents the actual credit extended.

5. A borrower applies for a mortgage and the credit report shows a prior name. The lender demands an explanation for the name change. Under ECOA/Reg B:

✓ **B) Requiring explanation of a name change itself is permissible for identity verification; however, using the fact of a name change (e.g., a woman who changed her name upon marriage) as a creditworthiness factor would be discrimination based on marital status or sex — the distinction is verification vs. evaluation**

ECOA nuance: lenders may verify identity (asking about prior names for the credit check is permissible) but may NOT use the fact of a name change as a negative creditworthiness factor. A woman who changed her name upon marriage cannot be penalized for this. The distinction: identity verification (permissible) vs. using marital status/sex indicators as negative factors (prohibited).

6. An MLO who is also a licensed real estate agent receives a referral fee from a title company for every client the MLO sends. The fee is \$400 per closing. Under RESPA Section 8:

✓ **C) This is permissible if the MLO also does title searches**

RESPA Section 8(a) is a per-se rule — any fee, kickback, or thing of value given or accepted for referring settlement service business is prohibited. The \$400 is unambiguously payment for referrals (the MLO sends clients, the title company pays \$400). There is no minimum amount, no 'services performed' defense for a pure referral payment, and disclosure does not cure a Section 8(a) violation.

7. A mortgage advertisement states 'Rates from 5.99%' without stating the APR. Under Regulation Z's advertising requirements:

✓ **A) This is permissible — only APR must be disclosed in advertising when triggered**

Reg Z advertising: certain terms are 'triggering terms' — when used, they require additional disclosures with equal prominence. An interest rate ('5.99%') is a triggering term. When triggered, the advertiser must disclose the APR (also as a triggering term). Stating a rate without APR violates Reg Z. This applies to all media — print, digital, broadcast.

8. A lender's loan officer tells a Hispanic applicant that the lender 'doesn't work in that area of town' even though the lender is licensed to operate statewide. The loan officer makes exceptions for white applicants from the same area. This is BEST described as:

✓ **D) An acceptable practice if documented consistently**

This is textbook disparate treatment — the same geographic 'restriction' is applied to protect a Hispanic applicant but waived for white applicants. This discriminatory application of a purported policy (which doesn't actually exist based on the exceptions made) constitutes national origin discrimination under ECOA and the Fair Housing Act. Redlining is a policy affecting an area; this is individual discriminatory treatment.

9. A landlord refuses to rent to a family because they have three children under 12. The landlord says the property is 'not suitable for small children.' Under the Fair Housing Act:

✓ **B) This violates the FHA's familial status protections — refusing to rent to families with children is per se discrimination; the only exception is qualifying senior housing (55+ communities meeting specific requirements)**

Familial status (families with children under 18) is a protected class under the FHA. Refusing to rent because of children violates the FHA. The 55+ senior housing exemption is narrow and specific (80% of units occupied by at least one person 55+, published policies demonstrating intent, HUD certification). A regular family rental property has no exemption from familial status protections.

10. A mortgage broker charges the following fees on a \$100,000 loan: 1 point origination (\$1,000) + 1 point broker fee (\$1,000) + \$500 application fee + \$800 credit insurance. Total points and fees = \$3,300. Is this a HOEPA high-cost mortgage based on points and fees?

✓ **C) Yes — any loan with broker fees triggers HOEPA**

HOEPA points and fees threshold for loans $\geq$ \$20,000: 5% of total loan amount. $5\% \times \$100,000 = \$5,000$. Actual points and fees = \$3,300 (3.3%). Since $\$3,300 < \$5,000$ ($3.3\% < 5\%$), the points-and-fees trigger is NOT met. The APR trigger must be checked separately. Note: credit insurance is typically included in HOEPA's points-and-fees calculation.

11. A bank with \$2 billion in assets, located in an MSA, originated 175 covered loans in Year 1 and 210 in Year 2. The HMDA loan-volume threshold for depository institutions is met when the institution originates at least how many covered loans in EACH of the two preceding calendar years?

✓ **A) 50 loans in each year**

The 2018 HMDA final rule set the coverage threshold at 25 closed-end mortgage loans originated in EACH of the two preceding calendar years for depository institutions. With 175 loans in Year 1 and 210 in Year 2, this bank clearly meets the 25-loan threshold in both years and must report HMDA data.

12. A lender uses a standard rate lock agreement that states the rate is locked for 30 days. The closing date is scheduled for day 28. Due to the borrower's request for additional time to review documents, closing is pushed to day 32. The lender charges a \$500 rate lock extension fee. Under TRID:

✓ **D) Extension fees are zero-tolerance and cannot be charged without prior LE disclosure**

TRID requires disclosure of rate lock terms and any potential extension fees on the LE. If the LE discloses the lock period and the potential for extension fees (including the amount or how it's calculated), charging an extension fee when the lock expires due to a borrower-requested delay is generally permissible. An undisclosed extension fee at closing would be a TRID violation.

13. Under Regulation B's marital status provisions, a lender IN A COMMUNITY PROPERTY STATE may ask about marital status because:

✓ **B) In community property states, a non-applicant spouse's debts may be the legal obligation of both spouses, affecting creditworthiness assessment — the inquiry is permitted to understand the legal debt obligations, not to discriminate**

In community property states (Arizona, California, Idaho, Louisiana, Nevada, New Mexico, Texas, Washington, Wisconsin), marital status affects legal liability for debts. A non-applicant spouse's debts may be community property obligations. ECOA/Reg B permits asking about marital status in these states ONLY to assess debt obligations — not to discriminate based on marital status itself.

14. Under the Fair Housing Act, which of the following is NOT a protected class at the FEDERAL level?

✓ **C) National origin**

The FHA's seven original protected classes: race, color, religion, national origin, sex, familial status, disability. Sexual orientation and gender identity are NOT explicitly listed in the FHA's text (though HUD under some administrations has issued guidance extending protections). Many states and localities have laws adding sexual orientation and gender identity as protected classes. This distinction between federal statute and administrative guidance is tested.

15. A HOEPA high-cost mortgage lender includes a mandatory arbitration clause that prevents the borrower from pursuing class action litigation. Under HOEPA and the Dodd-Frank Act:

✓ **A) Mandatory arbitration clauses are permissible in all mortgage contracts**

Dodd-Frank prohibits mandatory arbitration clauses in residential mortgage loan agreements for high-cost mortgages. This prohibition ensures consumers retain access to judicial remedies for HOEPA violations. The prohibition on class action waivers is also significant — class actions are a key enforcement mechanism for widespread HOEPA violations.

16. A financial institution discovers that its HMDA data for the prior year is missing 15 applications where the institution declined to process because the property was in a certain ZIP code. What fair lending concern does this raise?

✓ **D) A RESPA violation — declining applications is prohibited**

Systematically failing to record or process applications from certain geographic areas — especially if those areas correlate with protected class demographics — raises redlining concerns under the Fair Housing Act and ECOA in addition to the HMDA reporting violation. HMDA data gaps in specific geographic areas are a classic fair lending examination red flag.

17. A lender increases the APR between the CD issued on Monday and the final CD issued on Friday (same week) by 0.2% — just above the 1/8% threshold. Under TRID, this requires:

✓ **B) No additional waiting period because the CD was re-issued on Friday**

An APR increase of more than 0.125% (1/8%) triggers a new 3-business-day waiting period. The new CD is issued Friday; counting 3 business days (Fri doesn't count as day 1 — it's the delivery date; then Sat = day 1, Mon = day 2, Tue = day 3). Wait — the presumed delivery of a mailed CD is 3 business days after mailing, but if hand-delivered/electronic on Friday, the 3 days are Saturday (day 1), Sunday skip, Monday (day 2), Tuesday (day 3). Earliest closing = Tuesday.

18. A real estate brokerage and a mortgage company share office space and split the rent. Under RESPA, this arrangement:

✓ **C) Is only permissible if disclosed in the AfBA form**

Shared office space is scrutinized under RESPA Section 8. If the mortgage company pays below-market rent to the real estate brokerage in exchange for referrals, the below-market portion is effectively a referral kickback. If the rent is truly market rate for the actual space used, with no referral component, it may be permissible. The CFPB examines whether the rent arrangement is a disguised Section 8 violation.

19. A lender's underwriting algorithm was trained on historical loan data. The algorithm produces approval rates for minority applicants that are 25% lower than for white applicants with similar credit profiles. The lender claims the algorithm is 'objective and race-neutral.' Under ECOA's disparate impact theory:

✓ A) The algorithm is exempt because it uses no race-based variables

Disparate impact applies regardless of whether the policy uses race as a variable — a facially neutral algorithm that produces discriminatory results violates ECOA. The lender must: (1) demonstrate business necessity for the practice; (2) show no less discriminatory alternative exists. The CFPB and DOJ have announced that algorithmic discrimination is a top enforcement priority under ECOA.

20. An MLO refuses to show loan products to someone who speaks only Spanish, citing an inability to communicate. The MLO has no Spanish-speaking staff. Under the Fair Housing Act and ECOA:

✓ D) Language is not a protected characteristic and raises no fair lending issues

Language (limited English proficiency) is closely correlated with national origin — a protected class. Denying services or failing to make reasonable accommodations for LEP borrowers can constitute national origin discrimination under the FHA and ECOA. Lenders should have LEP access plans. Using language as a proxy for national origin to restrict services violates federal fair lending laws.

21. A new FinTech mortgage lender (non-depository) originated 115 closed-end mortgage loans in Year 1 and 75 in Year 2. The HMDA coverage threshold for non-depository institutions (as of 2020) is 100 loans in each of the two preceding years. Is this lender required to report HMDA for Year 3?

✓ B) No — the lender must exceed the threshold in EACH of the two preceding years; Year 2 (75 loans) is below the 100-loan threshold, so the lender is NOT required to report for Year 3

HMDA coverage requires meeting the loan volume threshold in EACH of the two preceding calendar years. If the institution met the threshold in Year 1 (115 > 100) but NOT in Year 2 (75 < 100), it does NOT meet the coverage test for Year 3 reporting. BOTH years must exceed the threshold.

22. Under RESPA, a 'controlled business arrangement' (old term) is now called an 'affiliated business arrangement.' The key disclosure requirement is that it must be made:

✓ C) Within 3 business days of application

The AfBA disclosure timing is critical: it must be made 'at the time of each referral' — meaning before or at the time the consumer is referred to the affiliated provider. The disclosure must be made early enough that the consumer can make an informed choice about whether to use the affiliated provider. An after-the-fact disclosure (at closing) does not satisfy the requirement.

23. A borrower's loan will not have an escrow account for taxes and insurance. How is this disclosed on the Loan Estimate?

✓ A) The LE does not address escrow at all for non-escrowed loans

The LE has a dedicated section addressing escrow. For non-escrowed loans, the LE discloses the fact that no escrow account will be established, shows estimated annual amounts for taxes and insurance the borrower will pay directly, and may include a lender's escrow waiver fee (if applicable). The LE must transparently disclose all payment obligations regardless of whether escrow is required.

24. A lender requires all applicants to provide 2 years of bank statements, but also requires Hispanic applicants to provide an additional 2 years (4 total). The lender claims this is due to 'income verification concerns' for borrowers from certain countries. This is:

✓ D) Permissible if the applicant is not a U.S. citizen

Requiring additional documentation from applicants based on national origin — Hispanic applicants needing 4 years of bank statements while white applicants need only 2 — is disparate treatment. This directly imposes more burdensome requirements on a protected class without legitimate, non-discriminatory justification. It violates ECOA and the Fair Housing Act.

25. Under HOEPA, after a high-cost mortgage is made, the lender is prohibited from refinancing that loan within what time period without a 'bona fide benefit' to the borrower?

✓ B) 12 months — refinancing a HOEPA high-cost mortgage within 12 months without a net tangible benefit constitutes prohibited 'loan flipping' under HOEPA

HOEPA's anti-flipping provision prohibits refinancing a high-cost mortgage within 12 months of origination unless the refinancing is in the borrower's interest (bona fide benefit). This prevents predatory loan flipping — the repeated refinancing of high-cost loans to generate fees without improving the borrower's situation.

26. A financial institution's HMDA LAR must be submitted to regulators annually by:

✓ C) June 30 of the following year

HMDA LAR submission deadline: March 1 of the year following the calendar year covered by the data. For 2024 data, the LAR must be submitted by March 1, 2025. The LAR is submitted through the CFPB's HMDA Filing Platform. Institutions that miss the March 1 deadline may face civil money penalties.

27. A seller provides a \$5,000 credit to the buyer for repairs at closing. How is this reflected on the Closing Disclosure?

✓ **A) As income to the buyer on the LE**

On the purchase transaction CD: seller credits (including repair credits, seller-paid closing costs) appear as a CREDIT on the buyer's column (reducing cash to close) and as a DEBIT on the seller's column (reducing seller net proceeds). The CD for purchase transactions shows both buyer and seller transactions. The sale price remains the contracted amount; the credit is a separate line item.

28. Under Regulation B, when a lender denies a credit application, the adverse action notice must state that the applicant has the right to a statement of specific reasons for the denial within how many days?

✓ **D) 90 days**

If the adverse action notice provides general notification without specific reasons, it must inform the applicant of their right to request specific reasons within 60 days. The lender must provide those reasons within 30 days of the request. However, the most common approach is to provide specific reasons directly on the adverse action notice (eliminating the need for the 60-day request process).

29. A borrower is purchasing a duplex for \$280,000. They will occupy one unit. FHA will lend at 96.5% LTV. How much is the down payment?

✓ **B) \$9,800 (3.5% of \$280,000 = \$9,800)**

FHA maximum LTV for 2-unit owner-occupied property (borrower score 580+) = 96.5%. Down payment = $3.5\% \times \$280,000 = \$9,800$. The base loan amount = $\$280,000 \times 96.5\% = \$270,200$. The UFMIP (1.75%) would then be calculated on the base loan amount and financed in: $\$270,200 \times 1.75\% = \$4,729$ UFMIP.

30. FHA's self-sufficiency test for 3-4 unit properties requires that:

✓ **C) The property be in a high-demand rental market**

FHA's self-sufficiency test for 3-4 unit properties: the appraiser estimates market rents for all units. Net rental income (gross rent minus FHA's vacancy/expense factor) must equal or exceed the monthly PITI. This ensures the property can generate sufficient income to cover itself, reducing the lender's risk on multi-unit properties.

31. A veteran is purchasing a home in an area where no VA-approved appraiser is available within a reasonable timeframe. The veteran needs to close quickly. Which of the following options is available?

✓ **A) The veteran can waive the VA appraisal requirement**

VA appraisals are required for VA loans and must be performed by VA-approved fee appraisers. The VA appraisal requirement cannot be waived (unlike some conventional programs that allow AVM or desktop appraisals). The VA regional loan centers may assist with expediting assignments or approving temporary appraisers in areas with limited coverage.

32. A borrower who had PMI for 3 years requests cancellation. The original home was purchased for \$250,000 with 10% down (\$25,000). The original loan amount was \$225,000. Based on the amortization schedule, the current balance is \$210,000. The current LTV based on original purchase price is:

✓ **D) 78% — cancellation is automatic**

$LTV = \text{current balance} / \text{original purchase price} = \$210,000 / \$250,000 = 84\%$. For borrower-requested PMI cancellation under HPA, the LTV must reach 80% of ORIGINAL value (not current value). \$210,000 is 84% of \$250,000 — still above the 80% threshold. The borrower cannot yet request cancellation based on original value amortization. They need the balance to reach \$200,000 (80% of \$250,000).

33. A borrower takes a 5/1 ARM at 4.5% with caps of 2/2/5. After 5 years, the index has risen dramatically. At the FIRST adjustment, the rate adjusts to 6.5% (4.5% + 2% initial cap). At the SECOND adjustment, the index-based fully indexed rate is 9.0%. What rate applies?

✓ **B) 8.5% — the periodic cap of 2% limits the second adjustment from 6.5% to a maximum of 8.5%**

Second adjustment: previous rate = 6.5%. Periodic cap = 2% per adjustment. Maximum rate = $6.5\% + 2.0\% = 8.5\%$. The fully indexed rate of 9.0% would be the target, but the periodic cap of 2% prevents the rate from rising more than 2% in any single adjustment. So the second adjustment = 8.5% (capped at periodic limit, even though the fully indexed rate is higher).

34. The 'Seasoned QM' category (finalized 2020, effective 2021) provides QM status to a loan if:

✓ **C) The loan was securitized by Fannie Mae**

Seasoned QM allows a loan that did not initially qualify as QM to obtain QM status after demonstrating 36 months of good performance while held in the lender's portfolio. Requirements: originated with good-faith ATR analysis, held in portfolio for 36 months, no more than 2 delinquent payments of 30+ days, no 60+ day delinquencies, and other criteria. This incentivizes portfolio lenders to make non-QM loans with a path to QM status.

35. A \$400,000 mortgage at 7.5% for 30 years has a monthly P&I; payment of approximately \$2,797. After the first payment, how much goes to principal reduction?

✓ **A) \$297**

First month's interest = $\$400,000 \times 7.5\% / 12 = \$400,000 \times 0.625\% = \$2,500$. Total payment = \$2,797. Principal paid = $\$2,797 - \$2,500 = \$297$. This illustrates early amortization: only \$297 of the first \$2,797 payment goes to principal. By month 360 (last payment), nearly the full payment is principal.

36. An appraiser completes an appraisal for a lender. The homeowner (borrower) calls the appraiser to discuss 'comps that were missed.' Under USPAP and appraisal independence requirements:

✓ **D) The borrower has the right to speak directly with the appraiser at any time**

Appraisal independence (FIRREA, Dodd-Frank, GSE guidelines) prohibits improperly influencing the appraiser. A borrower calling to discuss comps they want added is pressure to change the value. The appraiser should direct the borrower to submit information through the lender via the formal Reconsideration of Value (ROV) process. Direct borrower-appraiser communication about the value is a red flag for independence violations.

37. A non-occupying co-borrower joins an FHA loan. Under FHA guidelines, which of the following restrictions apply?

✓ **B) Non-occupying co-borrowers are permitted for 1-2 unit properties (typically up to 96.5% LTV); for 3-4 unit properties with a non-occupying co-borrower, the maximum LTV drops to 75%; the co-borrower must be a family member in most standard cases**

FHA with non-occupying co-borrowers: for 1-2 unit properties, standard FHA LTV limits apply (96.5% for 580+ scores). For 3-4 unit properties with a non-occupying co-borrower, the maximum LTV is reduced to 75%. Family member relationship requirements apply under standard FHA guidelines (though non-family members may also qualify under some circumstances with a lower LTV).

38. A veteran's Certificate of Eligibility (COE) shows 'prior approval required.' This means:

✓ **C) All VA loans require this designation**

Some VA loans require prior VA approval before the lender can commit to VA guarantee. This designation on the COE may indicate specific circumstances requiring VA review (unusual property types, loans involving certain features, or cases where automatic authority is not available). The lender must submit the loan to the VA regional loan center for approval before closing.

39. Under Fannie Mae's HomeReady program, first-time homebuyers can put as little as what percentage down?

✓ **A) 5%**

Fannie Mae's HomeReady is a low-income, first-time homebuyer program allowing 3% down payment, with income from non-borrower household members (boarder income), expanded definition of qualifying income, reduced MI coverage requirement, and available for first-time and repeat buyers meeting income limits. Freddie Mac's comparable program is Home Possible, also with 3% down.

40. Which of the following is TRUE about an ARM loan's 'index'?

✓ **D) The index equals the borrower's interest rate at all times**

An ARM index is an independently published benchmark rate that the lender has no control over. Common indexes: SOFR (Secured Overnight Financing Rate), Constant Maturity Treasury (CMT), 12-Month Treasury Average (MTA). The lender sets the margin (which doesn't change); the index changes with market conditions. Fully indexed rate = index + margin.

41. A lender determines that a borrower meets ATR requirements based on a documented analysis of all 8 required factors. However, the loan is non-QM (has interest-only features). A regulator examines the loan 2 years later after the borrower defaults. Under ATR rules, the lender:

✓ **B) Has the burden of demonstrating it conducted a good-faith, documented ATR analysis using the required factors; if properly documented, this provides a defense against ATR litigation — documentation is the lender's protection**

Non-QM loans must still comply with ATR — they just lack the legal safe harbor of QM status. A lender that conducts a genuine, documented ATR analysis using all 8 required factors has a defense against ATR claims. The documentation is critical — the lender's ability to demonstrate the analysis was done properly protects against litigation. The burden shifts to the lender to prove ATR compliance.

42. A borrower takes a \$500,000 loan. The lender charges 2 discount points. What is the total dollar amount of discount points?

✓ **C) \$2,500**

2 discount points = 2% of the loan amount = $2\% \times \$500,000 = \$10,000$. Discount points are prepaid interest purchased to reduce the interest rate. Common exam trap: points are calculated on the LOAN AMOUNT, not the purchase price. \$10,000 paid upfront to potentially reduce the rate by approximately 0.25-0.5% per point (varies by lender and market).

43. An appraiser determines that the HIGHEST AND BEST USE of a subject property is as a single-family residence (its current use). This means:

✓ **A) The property could be developed as commercial property but the appraiser chose residential**

Highest and Best Use (HBU) is a fundamental appraisal concept: the reasonably probable use that is legally permissible, physically possible, financially feasible, and maximally productive. For residential properties in residential zones with no development pressure, the current use is typically the highest and best use. HBU analysis must be performed for the vacant land AND the improved property.

44. Which of the following would DISQUALIFY a condominium from FHA Single Unit Approval (SUA)?

✓ **D) The HOA has a professional management company**

FHA Single Unit Approval has specific eligibility criteria. One disqualifying factor is when more than 15% of units are 30+ days delinquent on HOA dues — this suggests financial distress in the HOA, increasing the risk that essential services won't be maintained. A building's age, amenities, and professional management do not disqualify it from SUA.

45. The 'VA escape clause' (or amendatory clause) in a VA purchase contract provides that:

✓ **B) The veteran is not obligated to complete the purchase if the property's reasonable value (per the VA NOV) is less than the purchase price — this protects veterans from being required to pay more than the VA-appraised value**

The VA escape clause (required in VA purchase contracts) states the veteran is not obligated to complete the purchase if the NOV (Notice of Value) comes in below the purchase price. This is a consumer protection — it prevents veterans from being trapped in contracts where they'd have to pay above the VA-appraised value. The veteran may still choose to proceed by paying the difference in cash.

46. A conventional loan requires a 20% down payment on a \$375,000 purchase. The borrower also wants to pay 1.5 discount points. Total cash needed at closing (down payment + points only, excluding other closing costs) is:

✓ **C) \$75,000**

Down payment = $20\% \times \$375,000 = \$75,000$. Loan amount = \$300,000. 1.5 points = $1.5\% \times \$300,000 = \$4,500$. Total = $\$75,000 + \$4,500 = \$79,500$. Wait — let me recalculate: Down payment = \$75,000; Points on \$300,000 loan = \$4,500. Total = \$79,500. The closest answer is \$80,250 — which would be $\$75,000 + \$5,250$ (1.75 points). The exam answer for this question is B (\$80,250) based on the answer key, but the math yields \$79,500 for exactly 1.5 points on \$300K. Note: a slight variant. The correct computation: $20\% \times \$375,000 = \$75,000$ down; $1.5\% \times \$300,000 = \$4,500$ points = \$79,500 total.

47. Fannie Mae's DU system categorizes loan decisions as 'Approve/Eligible.' What does 'Eligible' mean in this context?

✓ **A) The borrower is eligible for government assistance**

DU's 'Approve/Eligible' has two components: (1) APPROVE — DU's credit analysis shows the borrower's risk is acceptable for the loan; (2) ELIGIBLE — the loan, property, and transaction characteristics meet Fannie Mae's eligibility requirements. Both must be present for Fannie Mae to purchase the loan. An 'Approve/Ineligible' result means the borrower qualifies but the loan has a characteristic (property type, condo, etc.) that makes it ineligible for GSE purchase.

48. A borrower is concerned about 'payment shock' when choosing between a 5/1 ARM and a 30-year fixed rate. Which scenario produces the GREATEST payment shock?

✓ **D) A 7/1 ARM at 4.0% with a 2% initial cap**

Payment shock is the increase in the monthly payment when an ARM adjusts. The greatest shock comes from: (1) a large spread between start rate and adjusted rate; (2) multiple consecutive adjustments upward. A teaser rate ARM (start rate well below the fully indexed rate) that adjusts multiple times creates more cumulative payment shock than an ARM where start rate and fully indexed rate are close. The 3.0% start rate ARM with 6.5% fully indexed rate and adjustments to 5%, then 7%, then potentially 8.5% (lifetime cap) creates the most payment shock.

49. Freddie Mac's Loan Product Advisor (LPA) is to Freddie Mac what Desktop Underwriter (DU) is to:

✓ **B) Fannie Mae**

DU (Desktop Underwriter) is Fannie Mae's automated underwriting system. LPA (Loan Product Advisor) is Freddie Mac's equivalent AUS. Both analyze loan applications against their respective agencies' guidelines and provide purchase eligibility determinations. Lenders choose which AUS to use based on which agency they plan to sell the loan to.

50. A borrower's home has appreciated from \$300,000 to \$420,000. What is the percentage increase in value?

✓ **C) 120%**

Percentage increase = $(\text{new value} - \text{original value}) / \text{original value} \times 100 = (\$420,000 - \$300,000) / \$300,000 \times 100 = \$120,000 / \$300,000 \times 100 = 40\%$. The home appreciated by 40%. This is a straightforward percentage increase calculation frequently tested in mortgage math sections.

51. A borrower wants to use an FHA loan to purchase a mixed-use property with 4 residential units and 1 commercial unit on the ground floor (a small retail space). FHA financing is:

✓ **A) Available for any mixed-use property**

FHA finances 1-4 unit RESIDENTIAL properties. Properties with significant commercial components (commercial retail space) are mixed-use properties that typically don't qualify for FHA residential mortgage insurance. Commercial financing is needed for the commercial component. Some states and programs have specific rules for small commercial components in residential properties, but the general rule is that FHA is for residential properties.

52. The VA Certificate of Eligibility (COE) can be obtained by:

✓ **D) Through HUD's online system**

VA COEs can be obtained: (1) by the veteran directly at va.gov or through VA regional offices; (2) by VA-approved lenders through the VA's WebLGY (Web Loan Guaranty) system — most lenders with VA approval can obtain instant COEs electronically for veterans meeting standard service requirements. The lender's ability to pull the COE quickly expedites the VA loan process.

53. An 'as-is' appraisal differs from a 'subject to' appraisal in that:

✓ **B) An 'as-is' appraisal values the property in its current condition; a 'subject to' appraisal values the property assuming certain repairs or improvements are completed — commonly used for FHA/VA loans with required MPR repairs or construction loans**

'As-is' = current condition value. 'Subject to' = value assuming specified repairs/improvements are completed. 'Subject to' appraisals are common when: (1) FHA/VA MPR repairs are required (appraiser notes required repairs, values the property 'subject to' completion); (2) new construction (valued 'subject to' completion of construction per plans and specs); (3) properties being renovated with 203(k) or homestyle loans.

54. Freddie Mac's primary product for first-time homebuyers with limited income that allows 3% down is:

✓ **C) HomeFirst**

Freddie Mac's Home Possible allows 3% down for qualifying borrowers (income at or below area median income). Fannie Mae's equivalent is HomeReady. Both programs have income limits, require homebuyer education for first-time buyers, have competitive PMI rates, and allow non-occupant co-borrowers. HomePath is a Fannie Mae program for foreclosed properties.

55. A borrower is taking a \$240,000 loan at 6% for 30 years. The monthly P&I payment is approximately \$1,439. After 10 years (120 payments), what percentage of the ORIGINAL loan amount remains unpaid? (Use approximate amortization — after 10 years on a 30-year loan, approximately 84% of principal remains)

✓ **A) 78%**

After 10 years of 30-year mortgage payments, the loan balance declines very slowly due to the front-loading of interest. On a \$240,000 loan at 6%, the balance after 120 payments is approximately \$201,000 — about 84% of the original balance. Only about 16% of the principal has been paid in 10 years (out of 30). This illustrates why the early years of a mortgage have minimal equity building.

56. When a property has a large, well-landscaped yard and an in-ground pool compared to most neighborhood homes, the appraiser's adjustments for these features in the sales comparison approach should:

✓ **D) Add the full listing price premium as stated in MLS listings**

In the sales comparison approach, adjustments reflect market value — what buyers actually pay for a feature, not the cost to install it. A pool, landscaping, or other premium feature often has a market contribution significantly below its cost (pools in cold climates may even detract from value). Appraisers use paired sales analysis to determine the actual market contribution of specific features.

57. A borrower is separated (not yet legally divorced) from their spouse and wants to apply for a mortgage individually. The MLO is in a community property state. Which of the following is the MOST accurate statement?

✓ **B) In a community property state, the non-applicant separated spouse's debts may be community property obligations that must be included in DTI; the MLO should determine whether the separation agreement has legally separated finances — legal advice may be needed**

In community property states, debts incurred during marriage may be the legal obligation of both spouses, regardless of who incurred them. A separated (but not divorced) borrower in a community property state may have their DTI affected by the non-applicant spouse's debts. The MLO needs to understand the legal status of the separation and potentially advise the borrower to consult an attorney.

58. A borrower works as a physician with a base salary of \$200,000 and receives a year-end bonus of \$150,000. For the past 2 years, the bonus was \$150,000 each year. To use the full \$150,000 bonus for qualifying, the MLO should:

✓ **C) Use only the base salary of \$200,000 for qualifying**

Bonus income with 2+ years history: Monthly base = $\$200,000 / 12 = \$16,667$. Monthly bonus (2-year average) = $\$150,000 / 12 = \$12,500$. Total monthly qualifying income = $\$29,167$. The bonus is averaged over 24 months (total \$300,000 over 2 years, divided by 24 months = $\$12,500/\text{month}$). Both years are required to establish the history and pattern.

59. A borrower applying for a conventional loan has a 720 credit score and wants to know why they are not getting the best rate pricing. The MLO explains that:

✓ **A) 720 is a perfect score — you are getting the best rate**

Conventional loan pricing uses LLPAs (loan-level price adjustments) — a matrix of credit score × LTV that determines the pricing adjustment to the interest rate. A 720 score at high LTV will have meaningful LLPAs compared to a 780 score at low LTV. The borrower's rate reflects both their credit score AND their LTV, not just the credit score alone.

60. An MLO places a borrower in a loan product that is not in the borrower's best interest solely because it earns the MLO a higher commission. The borrower later discovers they could have qualified for a lower-rate product. This violates:

✓ **D) Only RESPA Section 8**

Inappropriate steering to a higher-commission product violates multiple rules simultaneously: (1) Reg Z LO compensation — if the higher commission was tied to the loan terms (rate, APR); (2) UDAAP ABUSIVE — taking unreasonable advantage of the borrower's reliance on the MLO; (3) UDAAP UNFAIR — causing unavoidable financial harm; (4) professional conduct obligations to act in the borrower's best interest. Multiple violations from one act is a key exam concept.

61. A borrower asks about the difference between a 'rate-term' refinance and a 'cash-out' refinance. The key distinction is:

✓ **B) Cash-out refinances allow the borrower to take out equity above allowable closing costs while rate-term refinances change only the rate and/or term with minimal cash back; cash-out typically has higher rates and stricter LTV limits**

Rate/Term refinance: changes rate, term, or both; borrower may receive small cash back (typically limited to program-defined maximum, e.g., 2% or \$2,000 of loan amount for conventional). Cash-out refinance: borrower receives cash exceeding allowable closing costs — taps into home equity. Key differences: cash-out has lower max LTV limits, potentially higher rates, and stricter credit requirements than rate/term.

62. A borrower who is newly self-employed (9 months in business) wants to use their business income for qualifying. Under agency guidelines, this borrower:

✓ **C) Must wait 5 years before using business income**

Self-employment income requires 2 years of history in most agency guidelines. Under 2 years (like 9 months) generally disqualifies the income for qualifying. Exception: if the borrower was previously employed in the same field for 2+ years and just became self-employed, some agencies (FHA particularly) may accept 1 year of self-employment tax returns combined with prior employment. But projections and YTD income without 2 years of returns are generally insufficient.

63. A borrower disputes a medical collection that appears on their credit report. The dispute is pending at the credit bureau. The MLO is about to submit the loan file to underwriting. The MLO should:

✓ **A) Wait for the dispute to be resolved before submitting the file**

Pending credit disputes are a significant underwriting issue. If a derogatory account in dispute gets resolved against the borrower (dispute denied, account restored to active), the credit score could drop significantly AFTER initial approval. The MLO and underwriter must evaluate: is this medical (may be excluded from DTI under Fannie Mae)? Is the dispute valid? The loan may need to be re-evaluated if the dispute resolves negatively before closing.

64. At what point in the process can a lender first legally collect an appraisal fee from the borrower?

✓ **D) After the property is identified**

TRID timing for fee collection: After application is received, the lender may collect ONLY a credit report fee before the LE is provided and the borrower indicates intent to proceed. The appraisal fee and all other fees must wait until AFTER: (1) the borrower receives the LE; AND (2) the borrower indicates intent to proceed. Collecting the appraisal fee before both conditions are met violates TRID.

65. In a real estate transaction, 'escrow' can refer to which of the following?

✓ **B) Both: (1) the escrow/impound account the lender maintains to pay taxes and insurance on behalf of the borrower; AND (2) the third-party escrow company (common in western states) that facilitates the closing by holding funds and documents until all conditions are met — both are legitimate uses of the term 'escrow'**

'Escrow' has multiple meanings in mortgage: (1) Lender escrow account (impound) — holds monthly deposits for taxes and insurance; the lender pays these bills when due; RESPA governs. (2) Escrow company (closing agent in western states) — neutral third party that holds funds, documents, and coordinates the closing; escrow officer follows instructions from all parties; common in CA, WA, OR, AZ, etc.

66. A borrower is a 50% owner of an LLC that files taxes as a partnership (Form 1065). The borrower's qualifying income includes:

✓ **C) The total gross revenue of the LLC divided by 2 for the 50% share**

Partnership income (50% LLC taxed as partnership): use Form 1065 and Schedule K-1 to determine the borrower's proportionate share (50%) of: ordinary income + guaranteed payments + depreciation add-back - non-recurring income. This is averaged over 2 years. The analysis is similar to S-Corp income but uses partnership-specific forms (1065/K-1 instead of 1120S/K-1).

67. A borrower has a judgment against them for \$15,000. Under conventional (Fannie Mae) guidelines, this judgment:

✓ A) Automatically disqualifies the borrower

Fannie Mae guidelines on judgments: judgments must be paid off prior to or at closing, OR the borrower must have a payment arrangement in place with at least 3 months of documented payment history, with the monthly payment included in the DTI calculation. Unpaid judgments without an established payment plan are typically not acceptable for conventional financing.

68. Under HMDA, the data point 'Property Type' must distinguish between which categories?

✓ D) Only owner-occupied and investment properties

HMDA property type data includes: (1) single-family (1-4 unit); (2) multifamily (5+ units); (3) manufactured housing; with further distinctions between site-built and manufactured. Additionally, HMDA captures whether the property is a condo, co-op, or other type. These distinctions help regulators analyze lending patterns by property type and identify potential discrimination in specific segments.

69. The TRID 'Written List of Providers' allows borrowers to shop for certain settlement services. Which of the following services can TYPICALLY be on the Written List of Providers (allowing the borrower to shop)?

✓ B) Title services and title insurance

Services the borrower CAN shop for (and should appear on the Written List): title services (title search, title insurance), settlement/closing services, pest inspection, home inspection (if required by lender), survey. Services the borrower CANNOT shop for: appraisal (lender orders and selects appraiser), credit report, flood determination. If a service is on the Written List, selecting a provider from the list subjects the fee to 10% tolerance; selecting an unlisted provider subjects it to 0% tolerance.

70. A borrower asks about an FHA Energy Efficient Mortgage (EEM). An FHA EEM allows:

✓ C) Interest rate reductions for energy-efficient homes

FHA Energy Efficient Mortgage: allows the borrower to finance the cost of energy-efficient improvements (insulation, windows, HVAC, solar) into the mortgage beyond the FHA loan limit. The improvement amount is based on a cost-effective analysis (savings from reduced energy costs must justify the improvement cost). EEM loans can exceed the standard FHA limit by up to the lesser of the energy improvement costs or 5% of the property value.

71. A 'buyer's title insurance policy' and a 'lender's title insurance policy' are different in that:

✓ A) The buyer's policy is optional; the lender's policy is always required

Two types of title insurance: (1) LENDER's policy — required by lender; protects lender's interest (loan amount); premium is typically included in closing costs. (2) OWNER's policy — optional for the buyer (recommended); protects the owner's full equity; typically one-time premium at closing; covers the owner's interests for as long as they (or their heirs) own the property. Both cover pre-existing title defects, not future events.

72. An MLO reviews a borrower's credit and sees 'derogatory marks' on 3 of 10 accounts, all from 4 years ago, with nothing negative since. The MLO should:

✓ D) Charge a higher rate automatically

Credit analysis focuses on: recency (how recent), severity (how severe), and pattern (isolated vs. repeated). Three derogatory marks 4 years ago with nothing negative since is an isolated event — the borrower re-established credit successfully. Underwriters look at the overall pattern: a strong recent history (last 24 months) often mitigates older isolated negatives. Automatic denial for old isolated events is inappropriate.

73. A borrower earns \$8,000/month gross. Their total monthly obligations including the proposed housing payment are \$3,600. They have 12 months of PITI reserves (\$2,200/month PITI × 12 = \$26,400 reserves). The back-end DTI is 45%. Under Fannie Mae, this borrower:

✓ B) May qualify — 45% DTI is at Fannie Mae's standard limit; 12 months reserves (a strong compensating factor) could support DU approval; if DU returns Approve/Eligible, the loan is approvable

45% DTI is at Fannie Mae's standard maximum. Strong compensating factors (12 months reserves is exceptional — only 2-6 months is typically required) may allow DU to approve the loan. DU weighs multiple risk factors simultaneously — excellent reserves offset the high DTI. The key is whether DU returns 'Approve/Eligible' considering all risk factors together.

74. A borrower who is an undocumented immigrant (no SSN) wants to apply for a mortgage. Which of the following is MOST ACCURATE?

✓ C) Only FHA loans are available for ITIN borrowers

ITIN (Individual Taxpayer Identification Number) mortgage programs exist at some portfolio lenders for individuals who file taxes with an ITIN rather than an SSN. These are non-conforming portfolio loans (not eligible for Fannie/Freddie purchase). The MLO's licensing obligations are independent of the borrower's immigration status. The MLO does not have an obligation to report immigration status — that is a function of federal immigration law, not mortgage law.

75. Which of the following best describes a 'down payment assistance' (DPA) program?

✓ **A) A program that eliminates the need for any down payment**

Down Payment Assistance (DPA) programs provide funds for the required down payment through: grants (no repayment), forgivable loans (forgiven after a certain period if the borrower stays in the home), or silent second mortgages (no payments until sale/refinance). DPA programs are offered by state housing agencies (HFAs), local governments, nonprofits, and some employers. They are typically combined with first mortgage programs.

76. A borrower signs the Loan Estimate but then later verbally asks the MLO to change the loan product from a 30-year fixed to a 15-year fixed. Under TRID, this change:

✓ **D) Is not permitted after the LE is signed**

A borrower changing their requested loan product (30-year → 15-year) is a valid changed circumstance (borrower-requested change). The lender may re-issue a revised LE reflecting the 15-year product's different rate, payment, and fees. The revised LE resets the applicable fees for tolerance comparison (new LE vs. CD). This is one of the cleanest examples of a valid changed circumstance.

77. At loan closing, the lender's 'closing instructions' sent to the settlement agent specify:

✓ **B) The conditions the settlement agent must verify before funding the loan — typically: all required documents signed/notarized, required conditions cleared, homeowner's insurance in place, title policy issued, and recording in process; these instructions authorize the settlement agent to fund the loan when all conditions are met**

The lender's closing instructions are the lender's authorization to the settlement agent to close and fund the loan. They specify: documents to be executed, conditions to be satisfied before funding (insurance, title policy, specific conditions from underwriting), signature requirements, funding authorization conditions, and wire instructions. The settlement agent follows these instructions to ensure the lender's requirements are met before disbursing funds.

78. A borrower is applying for a mortgage with a 55% DTI. They have: 760 credit score, 30% LTV (very low LTV indicating large down payment), 18 months of reserves, and stable employment for 10 years. Under Fannie Mae's DU, this loan might:

✓ **C) Be approved because of the 30% LTV and 760 credit score**

Fannie Mae's DU has a maximum DTI of approximately 50% — even with strong compensating factors, DU will not approve loans exceeding this threshold. At 55% DTI, the loan exceeds DU's maximum. The borrower would need to either: (1) reduce DTI below 50% by paying down debts or increasing income; or (2) seek a non-QM portfolio lender with more flexible DTI requirements.

79. A borrower experienced a major economic event: job loss led to a foreclosure 2 years ago. Since then, the borrower re-established credit (720 score) and has stable employment. For a Fannie Mae conventional loan, the waiting period from foreclosure completion is:

✓ **A) 2 years with strong compensating factors**

Fannie Mae foreclosure waiting periods: standard = 7 years from the completion date of foreclosure. With documented extenuating circumstances (job loss qualifying as involuntary, beyond borrower's control): 3 years. At 2 years post-foreclosure, this borrower does not yet meet even the 3-year extenuating circumstances exception. FHA = 3 years standard, 0-1 year with extenuating circumstances. VA = 2 years typically.

80. The term 'seasoning' in mortgage lending refers to:

✓ **D) The length of time an MLO must be licensed before originating loans**

Seasoning has multiple mortgage applications: (1) Property seasoning — how long the borrower has owned the property (affects cash-out refi eligibility and restrictions on flip transactions); (2) Derogatory event seasoning — time since foreclosure, bankruptcy, short sale; (3) Asset seasoning — how long funds have been in a bank account (typically 60-90 days to prevent last-minute large deposits from undocumented sources).

81. An 'interest-only' mortgage during the interest-only period means that:

✓ **B) The borrower pays ONLY interest — no principal reduction occurs, and the loan balance remains at the original amount; when the IO period ends, payments increase significantly to a fully amortizing level over the remaining term**

During the interest-only period: 100% of each payment is interest; principal balance stays constant. After the IO period: the loan must fully amortize over the remaining term, resulting in significantly higher payments (because you're paying off the full original balance in fewer years than original term). Example: 10-year IO on 30-year loan → full principal paid in remaining 20 years instead of 30.

82. The standard for calculating qualifying income for a borrower on a salary with an expected future raise (not yet effective) is:

✓ **C) Average the current and expected salary**

Only CURRENT, documented income is used for qualifying. Future raises, promotions, or salary increases that have not yet taken effect are not qualifying income. Exception: an accepted employment offer with a stated start salary may be used if the borrower starts before or at closing and the income is documented in an offer letter — but this is for NEW employment, not a future raise in current employment.

83. When a mortgage application is submitted online and the system automatically pulls credit with borrower consent, the TRID application is considered received when:

✓ **A) The borrower's credit score is returned**

TRID's application receipt is triggered when the lender receives all six pieces of information: name, income, SSN, property address, estimated value, and loan amount sought. For online applications, this is typically the submission date. Credit being pulled is part of the processing, not the triggering event. The 3-business-day LE clock starts from the date of application receipt.

84. A borrower on an FHA loan will have MIP collected in escrow monthly. The Initial Escrow Account Disclosure Statement must show the monthly MIP amount. An error in the Initial Escrow Statement showing the wrong MIP amount:

✓ **D) Requires the loan to be rescinded**

RESPA requires accurate escrow account disclosures. If the initial escrow statement contains an error (incorrect MIP, wrong tax estimate), the servicer should correct it through the annual escrow analysis (which recalculates the correct escrow payment). Significant errors may require earlier correction. The annual escrow analysis is the primary mechanism for correcting escrow payment amounts.

85. A 'reverse mortgage' (HECM) is designed for senior homeowners. The loan balance INCREASES over time because:

✓ **B) Interest accrues on the loan balance with no monthly payment required — the unpaid interest is added to the loan balance; the loan is due when the last eligible borrower leaves the home, sells, or passes away; FHA's MIP also accrues on the balance**

HECMs work in reverse of traditional mortgages: no monthly payment is required. Interest accrues on the outstanding balance and is added to the loan (compounding the balance). FHA's ongoing MIP also accrues. The loan comes due when: the last borrower vacates as their primary residence, sells, or dies. At that point, the balance (original advance + accrued interest + MIP) must be repaid — typically from the home sale proceeds.

86. A 'power of attorney' (POA) used at mortgage closing allows:

✓ **C) Any family member to sign on the borrower's behalf without documentation**

A POA allows an agent to sign closing documents on the borrower's behalf. Lender requirements for POAs: must be specific to the transaction (not just a general POA), durable (if the borrower becomes incapacitated), notarized and/or witnessed, and sometimes pre-approved by the lender. VA, FHA, and conventional lenders all have specific POA requirements. Using a POA without lender approval can cause the closing to fail.

87. In the 2022 enforcement action against a large mortgage servicer, the CFPB cited UDAAP UNFAIR practices for failing to apply borrower payments promptly and charging late fees as a result. Which element of UNFAIR was most central?

✓ **A) The servicer's intent to harm borrowers**

The 'not reasonably avoidable' element was central: borrowers did everything right (paid on time) but were harmed by the servicer's processing failures. The harm — late fees and negative credit reporting — was entirely beyond the borrowers' control and therefore not reasonably avoidable. This is a textbook UNFAIR fact pattern that the CFPB has repeatedly used in enforcement actions against servicers.

88. A mortgage company's social media advertisements show borrowers receiving 'guaranteed pre-approvals in 60 seconds.' In reality, the '60-second pre-approval' is a soft credit pull with no income verification — it means almost nothing about actual eligibility. This advertising is MOST LIKELY:

✓ **D) Only an issue if the consumer is eventually denied**

DECEPTIVE: (1) the term 'guaranteed pre-approval' is misleading — a 60-second soft pull is not a meaningful underwriting evaluation; (2) a reasonable consumer WOULD believe 'guaranteed pre-approval' means they are likely to qualify — this impression is false; (3) MATERIAL — this directly influences consumers to proceed with the application and invest time and emotional energy based on a meaningless 'approval.'

89. A financial services company provides 'free mortgage consultations' that are actually high-pressure sales presentations. The representatives are incentivized to place borrowers in the company's most expensive product regardless of suitability. Vulnerable borrowers are specifically targeted. This conduct is MOST LIKELY:

✓ **B) Both ABUSIVE (taking unreasonable advantage of consumer trust in a 'consultation' and exploiting vulnerability) and potentially UNFAIR (causing substantial, unavoidable financial harm through unsuitable product placement) — multiple UDAAP violations simultaneously**

A 'free consultation' framing exploits consumer trust — borrowers reasonably rely on 'consultants' to help them. Using this trust to place them in the most expensive product regardless of suitability is ABUSIVE (exploiting reasonable reliance). The financial harm from unsuitable expensive products is substantial and not reasonably avoidable (the borrower trusted the 'consultant'), making this also UNFAIR. Multiple UDAAP standards can apply to the same conduct.

90. An appraisal management company (AMC) is pressured by a lender to provide appraisals that consistently come in at or above the purchase price. The AMC removes appraisers from its panel who provide accurate lower values and retains appraisers who provide inflated values. This systemic practice is:

✓ **C) Permissible because AMCs have business discretion in panel management**

Systemic appraisal manipulation — removing accurate appraisers and retaining inflated-value appraisers — constitutes appraisal fraud at the institutional level. FIRREA and Dodd-Frank prohibit coercing, bribing, or manipulating appraisers. The AMC and lender face regulatory action (civil money penalties, suspension from agency programs) and potential criminal liability for enabling systematic appraisal inflation.

91. An MLO receives an expensive piece of marketing equipment (a \$2,000 custom display) from a title company along with an offer to 'co-market' events. The title company covers 100% of all marketing expenses. Under RESPA and UDAAP:

✓ **A) This is a legitimate co-marketing arrangement**

Co-marketing arrangements are permissible only when each party contributes proportionally to the benefit received. When the title company pays 100% of costs (including providing expensive equipment) in a context where the MLO refers business, the excess benefit received by the MLO represents a thing of value in exchange for referrals — a Section 8 violation. The proportion of costs must match the proportion of benefits received by each party.

92. A buyer and seller agree on a purchase price of \$350,000, but the written contract shows \$375,000. The \$25,000 difference is secretly given back to the buyer as 'renovation funds' at closing (but not disclosed to the lender). This is:

✓ **D) Only a problem if the lender discovers it**

This is contract price fraud (also called a 'secret kickback' or 'purchase price fraud'): the lender is deceived into funding a loan based on an inflated purchase price. The true price is \$350,000 but the loan is based on \$375,000 — an artificially inflated LTV and loan amount. This is bank fraud. Both the buyer (who receives the kickback) and the seller (who creates the false contract) are criminally liable.

93. An MLO charges a 'documentation fee' of \$2,500, a 'processing fee' of \$1,500, and an 'administrative fee' of \$1,000 on a \$150,000 loan — in addition to a 1-point origination fee (\$1,500). Total fees = \$6,500 = 4.3% of the loan amount. Under Reg Z's QM points-and-fees limit (3% for loans $\geq$ \$100,000), this loan:

✓ **B) Cannot be a General QM — the 4.3% total points and fees exceeds the 3% General QM threshold; this is a non-QM loan and the excessive fees may also indicate predatory practices under UDAAP**

General QM requires total points and fees $\leq$ 3% for loans $\geq$ \$100,000. $\$6,500 / \$150,000 = 4.3\% > 3\% \rightarrow$ CANNOT be General QM. The excessive, duplicative fees (documentation + processing + administrative) are also a predatory lending indicator. The loan is non-QM, exposing the lender to full ATR liability. The fee structure also warrants UDAAP analysis (UNFAIR/DECEPTIVE — hidden fees that reasonable borrowers wouldn't anticipate or understand).

94. A mortgage company employee discovers that a colleague is systematically omitting suspicious transactions from SAR filings to help a client avoid BSA scrutiny. The discovering employee should:

✓ **C) Take no action — it's the colleague's responsibility**

Financial institutions must maintain a culture of BSA/AML compliance. An employee who discovers systematic SAR failures by a colleague must report to the compliance/BSA officer. If the company fails to address the issue, the employee may report to FinCEN or other regulators. Whistleblower protections (under BSA and other statutes) protect employees who report BSA violations in good faith. Doing nothing while knowing of ongoing BSA failures may itself create liability.

95. The CFPB's UDAAP Unfair standard has been applied to a lender's practice of making it extremely difficult to cancel optional add-on products (like payment protection plans) by requiring borrowers to call during very limited hours, navigate complex phone trees, and submit written documentation — resulting in millions of borrowers continuing to pay for unwanted products for months or years. This is UNFAIR because:

✓ **A) The products have no value**

Deliberately complex cancellation procedures make the injury (continued payment for unwanted products) NOT REASONABLY AVOIDABLE. Even though the borrower could theoretically cancel, the practical barriers (limited hours, phone trees, written documentation requirements) are designed to deter cancellation. CFPB has taken major enforcement actions against credit card and mortgage companies for exactly this 'sticky' cancellation practice.

96. A mortgage broker submits a loan application with fabricated W-2s and pay stubs, claiming the borrower earns \$120,000/year when they actually earn \$45,000/year. The lender approves the loan based on the false documents. When the borrower defaults, which parties face potential criminal liability?

✓ **D) No criminal liability — this is a civil matter**

The mortgage broker who creates and submits fabricated income documents commits: (1) bank fraud (18 U.S.C. §1344); (2) wire fraud if any electronic transmission is involved; (3) potentially mortgage fraud under specific state and federal statutes. The broker faces the most severe criminal exposure as the active perpetrator. If the borrower knowingly participated (signed knowing the documents were false), they are also criminally liable as a co-conspirator.

97. An MLO who is also a HUD-approved housing counselor refers clients from their counseling practice to their mortgage origination practice. This creates an inherent conflict of interest because:

✓ **B) HUD-approved housing counselors are expected to provide independent, unbiased advice in the consumer's best interest; when the counselor also profits from originating the mortgage, their independence is compromised — HUD prohibits approved counseling agencies from referring clients to in-house loan origination services**

HUD requires that approved housing counselors maintain independence from origination activities to preserve the integrity of the counseling. The counselor's role is to help the borrower understand all options — including options other than a mortgage. Profiting from the subsequent origination creates a direct financial conflict with providing unbiased counseling. HUD has explicit rules preventing counseling agencies from referring to affiliated mortgage originators.

98. A lender sends 'pre-approval' letters to consumers using a mailing list, implying the consumer has been evaluated and approved for a specific loan amount. In reality, no credit evaluation has been performed — the 'pre-approval' is a mass-marketing solicitation. This practice:

✓ **C) Is permissible if the letter includes any disclaimer**

DECEPTIVE: the term 'pre-approval' to a reasonable consumer implies individual evaluation — the consumer has been pre-screened and found creditworthy for the stated amount. Using 'pre-approval' for a mass solicitation with no individual evaluation creates a false impression. FCRA has specific 'firm offer of credit' provisions for mass mailings, but using 'pre-approval' without genuine pre-screening also raises UDAAP Deceptive concerns.

99. Which of the following **CORRECTLY** identifies a predatory lending practice and the population **MOST FREQUENTLY** targeted?

✓ **A) High-rate adjustable products targeting young professionals**

Predatory lending in the mortgage context most frequently targets: elderly homeowners with significant home equity (their primary/only major asset), fixed incomes making it difficult to absorb increased payments, and limited financial sophistication. Loan flipping + equity stripping is the most devastating combination — each refinance adds closing costs (equity stripping) while generating new fees, depleting the borrower's equity until they face foreclosure.

100. Which of the following is **NOT** required content for a Suspicious Activity Report (SAR)?

✓ **D) The amount of the transaction(s) involved**

SAR content requirements: description of suspicious activity, identity of subject (if known), amount involved, dates of activity, and the institution's contact information. A SAR does NOT require — and in fact PROHIBITS — notification to the subject ('tipping off'). The institution must NOT tell the subject that a SAR was filed. There is no requirement to separately notify law enforcement — the SAR IS the notification to law enforcement (through FinCEN).

101. The CFPB's 'countervailing benefits' analysis for **UNFAIR** practices considers whether the harmful practice also provides benefits that could justify the harm. In mortgage lending, which of the following is **LEAST LIKELY** to constitute a valid countervailing benefit?

✓ **B) Broader access to credit for underserved populations through more flexible underwriting (even if some fees are slightly higher)**

The 'countervailing benefits' test asks whether the practice benefits CONSUMERS or COMPETITION — not whether it benefits the lender. The lender's profit margin is NOT a countervailing benefit for UDAAP purposes. The harm must be outweighed by benefits to consumers generally or to competition in the market. A lender profiting from a harmful practice does not justify the harm under the UNFAIR standard.

102. A borrower with no legitimate income is applying for a mortgage with a 'stated income' (no-doc) non-QM loan product. The MLO knows the borrower has no ability to repay but submits the application anyway because the non-QM lender will fund it. This MLO conduct violates:

✓ **C) Only state licensing regulations**

ATR applies to ALL closed-end consumer mortgages — not just QM. The MLO who knowingly submits an application for a borrower with no ability to repay violates: ATR (no good-faith assessment possible when there is literally no income), UDAAP (UNFAIR — causing substantial, unavoidable harm; ABUSIVE — exploiting the borrower), and mortgage fraud if income is fabricated. Non-QM status removes the safe harbor but not the obligation to assess ability to repay.

103. An MLO consistently recommends a particular loan product to elderly borrowers, claiming it is the 'safest option for seniors.' The product has higher fees and rates than alternatives. The borrowers trust the MLO completely and do not shop elsewhere. The MLO earns the highest commission on this product. Under UDAAP **ABUSIVE**:

✓ **A) The conduct is permissible — the MLO knows senior needs best**

ABUSIVE — 'unreasonable advantage of reasonable reliance': the elderly borrowers reasonably trust the MLO to recommend the best product for their needs. The MLO exploits this trust to recommend the highest-commission product (not the best product for the borrowers). The borrowers' reasonable reliance PREVENTS them from protecting themselves — they don't shop because they trust the MLO. This is the essence of ABUSIVE conduct.

104. A lender offers ARM loans with a start rate of 1.99% (teaser) with disclosure in the contract that the rate can increase to a maximum of 13.99%. The loan is marketed as 'affordable.' A borrower earning \$4,000/month is placed in this loan with a starting PITI of \$1,200 (30% housing ratio). At the maximum rate, the PITI would be \$3,200 (80% housing ratio). This product is MOST LIKELY:

✓ D) Permissible because the disclosure was made

Disclosure does not cure fundamentally unsuitable product design. A loan with a potential 80% housing ratio for a borrower earning \$4,000/month is an ATR violation (no good-faith assessment could find this borrower able to repay at the maximum rate). UDAAP: UNFAIR (substantial, unavoidable harm), ABUSIVE (taking advantage of the borrower's inability to understand the long-term risk of a teaser-rate ARM). 'Disclosed but unsuitable' is still predatory.

105. The final ethics principle for Phase 3: An MLO's primary obligation is to:

✓ B) Act honestly, ethically, and in compliance with all applicable laws and regulations; when the borrower's best interest conflicts with the MLO's financial interest, the borrower's interest must prevail — this is the foundational principle of ethical mortgage origination

The foundational principle: an ethical MLO's primary obligation is honest, lawful conduct in the borrower's best interest. The comprehensive regulatory framework — SAFE Act, TRID, RESPA, ECOA, UDAAP, ATR — is designed to enforce this principle legally. Professionally and ethically, every loan decision must be grounded in whether the loan is appropriate for the specific borrower's financial situation, understanding, and long-term interests.

106. An MLO candidate fails the national SAFE MLO Test on their first attempt. Under NMLS rules, how soon may they retake the test?

✓ C) 60 days after each failure

NMLS test retake requirements: after each failed attempt, a 30-day waiting period applies before retesting. After three consecutive failures, the candidate must wait 180 days before retesting. There is no permanent ban — with adequate preparation, candidates can continue to attempt. The 180-day wait after three failures is designed to encourage comprehensive study before additional attempts.

107. An MLO who holds licenses in 3 states (California, Nevada, and Arizona) must complete annual CE. How many hours of CE must they complete?

✓ A) 24 hours (8 per state)

The SAFE Act requires a minimum of 8 hours annually. However, many states require ADDITIONAL state-specific CE hours beyond the 8-hour national minimum. An MLO licensed in 3 states must: complete the 8-hour national CE AND complete any state-specific hours required by each state (California, Nevada, and Arizona may each have their own additional requirements). The total CE burden for multi-state licensees can exceed 8 hours.

108. An MLO is terminated for cause by their employer due to a compliance violation. The MLO's state license:

✓ D) Is suspended pending investigation by the state

An MLO's state license belongs to the INDIVIDUAL — not the employer. When employment ends (for any reason), the license does not automatically terminate. However: (1) the employer must deregister the sponsorship in NMLS; (2) without an active employer sponsorship, the MLO cannot originate loans; (3) the state regulator may investigate a termination for cause (especially if misconduct is alleged). The NMLS requires reporting of certain termination reasons.

109. Under NMLS, an employer (mortgage company) must report to NMLS when an MLO leaves employment and the reason for separation includes misconduct. This is reported through:

✓ B) NMLS Form MU4R (the employment termination report) — the employer must report within a specified timeframe when an MLO's employment is terminated for cause, including the specific reason; this information may be reviewed by state regulators

NMLS requires employers to report MLO employment terminations through Form MU4R when the termination was for cause (misconduct, license violations, fraud). The report must be filed within a specified timeframe (typically 30 days) and must include the reason for termination. State regulators review these reports as part of their oversight of MLO conduct. Failure to report is itself a compliance violation.

110. An MLO who uses the 120-day transitional license in a new state but fails to submit a complete license application during that period may:

✓ C) Continue under the transitional authority indefinitely if the application is pending

The 120-day transitional license provides temporary authority only. When the transitional period expires: (1) if a complete license application is pending, some states may allow continued origination until the license is issued or denied; (2) if no complete application was submitted, origination must cease immediately. The transitional license is not indefinitely renewable — it is a bridge to full licensure.

111. An MLO was convicted of a crime, then received a pardon from the state governor. Does the pardon restore MLO licensing eligibility?

✓ **A) Yes — a full pardon eliminates the conviction for all purposes**

The SAFE Act permanent bar is based on conviction. State gubernatorial pardons affect state law consequences but may not fully eliminate the SAFE Act's federal licensing bar. The interplay between pardons and the SAFE Act permanent bar is complex and fact-specific — state licensing authorities may have varying interpretations. Legal counsel and direct guidance from the state regulator are essential. Some states may allow licensing after a pardon for the 7-year bar felonies but not for permanent bar offenses.

112. An MLO in a state that requires 8 hours of state-specific CE in addition to the 8-hour national SAFE Act CE must complete:

✓ **D) 12 hours total**

State CE requirements are additive — a state requiring 8 additional hours means the MLO must complete 8 (national) + 8 (state) = 16 total hours annually. The state-specific CE cannot substitute for the national SAFE Act CE components (federal law, ethics, nontraditional products), and the national CE cannot substitute for required state-specific content. This is why multi-state MLOs face higher CE burdens.

113. Which of the following statements about the NMLS Unique Identifier is MOST ACCURATE?

✓ **B) It is permanent, assigned once, follows the MLO through all states and employers for their entire career, and must appear on all loan documents, advertisements, and solicitations — consumers can look it up in NMLS Consumer Access**

The NMLS Unique Identifier: (1) permanent — assigned once, never changes; (2) follows the MLO through all employer changes and state license changes; (3) must appear on all loan applications, loan documents, and marketing materials (per SAFE Act); (4) allows consumers to look up the MLO's license status, employment history, and regulatory record on NMLS Consumer Access. This is a fundamental SAFE Act requirement.

114. A borrower's real estate agent is also a licensed MLO in the same state. The agent originates the buyer's mortgage for the home they are also representing the buyer to purchase. This situation:

✓ **C) Is encouraged by the SAFE Act to provide one-stop shopping**

The SAFE Act governs MLO licensing — it does not specifically prohibit dual licensure. However: (1) Reg Z's LO compensation rule addresses conflicts; (2) RESPA addresses affiliated business arrangements; (3) most lenders prohibit their MLOs from acting as real estate agents on the same transaction; (4) state law may impose restrictions. The practice is legally permissible in some contexts but ethically problematic and lender-policy restricted.

115. A mortgage company hires a new loan officer who has worked as a registered MLO at a bank for 15 years. Before originating loans as a state-licensed MLO, this individual must:

✓ **A) Only pass the SAFE exam — no education is required for experienced MLOs**

Prior experience as a registered MLO (bank employee) does NOT substitute for state pre-licensing requirements. The transitional license (120 days) is available, but the individual must still: (1) complete all 20 hours of PE; (2) pass the national SAFE exam and any state-specific exam; (3) submit a complete state license application through NMLS (with background check, credit report); (4) receive a state license. Experience is not a waiver for education or testing requirements.

116. An MLO has been continuously licensed for 15 years without any interruption. They ask whether their long track record reduces their CE obligation. The answer is:

✓ **D) Yes — after 15 years, CE is optional**

Annual CE is a constant requirement for all state-licensed MLOs — 8 hours every year, with the same component breakdown (3 federal, 2 ethics, 2 nontraditional, 1 elective), regardless of how many years the MLO has been licensed. Longevity, experience, and clean record do not reduce the CE requirement. The mortgage industry changes constantly; annual CE ensures MLOs stay current.

117. Which of the following MLOs would NOT qualify for the transitional license provision?

✓ **B) A registered MLO (bank employee) becoming a state-licensed MLO at an independent mortgage company**

An MLO whose license has LAPSED (due to failure to complete CE or renew) is NOT in 'good standing' — the transitional license requires a valid, active license in good standing. A lapsed MLO must reinstate their license through the normal renewal process (complete CE, pay fees, reapply) before they can use transitional license provisions. A registered MLO moving between federally chartered institutions (bank → thrift) typically doesn't need a transitional license as both are federal registrations.

118. The SAFE Act's permanent bar is triggered by conviction for 'breach of trust.' Which of the following crimes MOST CLEARLY involves breach of trust?

✓ **C) Embezzlement by an employee from an employer — taking funds entrusted to you for a specific purpose**

Breach of trust occurs when a person entrusted with property or responsibility misappropriates it. Employee embezzlement from an employer is the classic breach of trust — the employee had access to funds as part of their job responsibilities and abused that trust for personal gain. Reckless driving, assault, and drug possession are serious crimes but do not involve breach of trust in the financial sense that triggers the SAFE Act permanent bar.

119. The 3-hour ethics component of annual CE must specifically cover which topics?**✓ A) Investment analysis and portfolio management**

Both the annual CE ethics component (2 hours, not 3 — correction: 3 hours for pre-licensing, 2 hours for annual CE) and the pre-licensing ethics component specifically require coverage of: fraud prevention, consumer protection, and fair lending issues. These topics are the regulatory heart of mortgage ethics. Understanding fraud, consumer protections (UDAAP, TILA, RESPA), and fair lending (ECOA, FHA) is essential to ethical origination.

120. Phase 3, Final Question: An MLO originating a residential mortgage loan must have an active license in which state?**✓ D) Only the federal registration if the MLO works for a bank**

MLO licensing is state-specific and based on where business is conducted. Most states require the MLO to be licensed in the state where the subject property is located (the fundamental nexus for mortgage regulation). Some states also require licensure in the state where the borrower resides. An MLO licensed only in Texas cannot originate a loan for a property in California. This geographic specificity of licensing is a core SAFE Act principle.

SCORE	RESULT	NEXT STEPS
108–120 (90–100%)	EXCELLENT ✓	Review any missed; you're on track to pass.
90–107 (75–89%)	PASS ✓	Close! Shore up weak topics in study notes.
72–89 (60–74%)	BORDERLINE	Re-read weak sections; retake this exam.
0–71 (below 60%)	NEEDS WORK	Study notes first, then retry in 24 hrs.